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ECONOMIC SURVEYS
1983-1984

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

CANADA

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JULY 1984

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CANADA

JULY 1984

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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- to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development; and
- to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.

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BASIC STATISTICS OF CANADA

THE LAND

Area (thousand sq. km.)	9 976
Agricultural area (% of the total area) 1977	6.4

Population of major cities, including their metropolitan areas (1981 census):

Montreal	2 828 349
Toronto	2 998 947

THE PEOPLE

Population (1-1-1984)	25 015 800
Number of inhabitants per sq. km.	2.5
Population, annual net natural increase (average 1979-1983)	191 200
Natural increase rate per 1 000 inhabitants (average 1979-1983)	7.9
Civilian labour force (1983)	12 183 000
Employment in agriculture (1983)	476 000
Immigration (annual average 1979-1983)	118 800
Average annual increase in civilian labour force (1979-1983, %)	1.6

PRODUCTION

GNP in 1983 (millions of Canadian dollars)	388 686
GNP per head (Canadian dollars)	15 547
Gross fixed investment (private and public) per head (Canadian dollars)	3 061
Gross fixed investment (private and public) as % of GNP	19.7

Origin of gross domestic product (1982, % of total):

Agriculture, forestry and fishing	4.2
Mining and quarrying	5.8
Manufacturing	17.5
Construction	5.8
Public administration	8.3
Other	58.4

THE GOVERNMENT

Government current expenditure on goods and services (average 1979-1983, % of GNP)	20.5
Government gross fixed capital formation (average 1979-1983, % of GNP)	2.6
Federal Government current revenue (average 1979-1983, % of GNP)	17.6
Federal direct and guaranteed debt % of current expenditure (average 1979-1983, %)	137.7

Composition of Parliament (Number of seats):

	House of Commons	Senate
Liberals	145	64
Progressive Conservatives	99	23
Liberal Labour	1	–
New democratic	31	–
Independent Liberal	0	1
Independent	1	4
Vacant	5	12

Last election: 18.2.1980

FOREIGN TRADE

Exports, (1983)

Exports of goods and services as % of GNP	27.8
Main exports, (% of commodity exports):	
Wheat	5.1
Newsprint	4.4
Lumber	4.4
Woodpulp	3.4
Non-ferrous metals and alloys	6.0
Motor vehicles and parts	23.5
Other manufactured goods	28.9
Main customers, (% of commodity exports):	
United States	74.0
United Kingdom	2.8
Other EEC	4.7

Imports, (1983)

Imports of goods and services as % of GNP	27.7
Main imports, (% of commodity imports):	
Industrial materials	21.8
Motor vehicles and parts	26.6
Producers' equipment	20.3
Consumer goods	17.6
Main suppliers, (% of commodity imports):	
United States	71.6
United Kingdom	2.4
Other EEC	5.5

THE CURRENCY

Monetary unit: Canadian dollar

Currency unit per US $, average of daily figures:

Year 1983	1.2324
May 1984	1.2918

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of Canada by the Economic and Development Review Committee on 5th June 1984.

After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 25th June 1984.

INTRODUCTION

Economic developments in Canada have proved markedly more favourable than seemed likely early last year when it became evident that the country was emerging from its severest post-war recession. In terms of overall growth, the recovery has so far broadly conformed with the profile of pre-oil shock upturns, although its structure has diverged quite noticeably. Unemployment has fallen, but rather less than in the United States. Progress in reducing price and wage inflation has been impressive; the rate of consumer price increase reached a ten-year low toward the end of 1983 and is currently below the overall OECD rate after having been well above since early 1981. Furthermore, the external sector has remained strong, with the current account continuing in surplus. The powerful boost to the Canadian economy imparted by the United States upswing has been supplemented by an expansionary federal fiscal stance and a generally accommodating monetary policy made possible by a situation of declining inflation. On the other hand, the provinces have generally sought to consolidate their finances through budgetary restraint.

While the upswing has practically effaced the output decline registered in the 1981/82 recession, the latter's severity was such that its legacy has not been entirely expunged. The unemployment rate is still well above the OECD average and, despite a strong rebound in profits, corporate balance sheets require some further restructuring. Firms have thus far in the recovery shown little interest in expanding capacity following the appreciable increase between 1979 and 1982, particularly as utilization rates of existing plant remain rather low. With the growth of external markets likely to slow and fiscal policy stance due to tighten in conformity with the medium-term strategy adopted in April 1983, the Secretariat is projecting a slowing down in the rate of expansion over the next 18 months. Nevertheless, growth is expected to remain slightly above the average for the OECD area as a whole in both 1984 and 1985. A reacceleration of inflation is not expected, but near-term prospects for further appreciable progress in reducing rates of wage and price increase seem limited.

Part I of the Survey traces the main features of the present recovery, comparing certain developments with the profile of previous post-war upturns. Policy stance is also discussed and Canada's economic prospects over the next 18 months assessed. Part II examines some aspects of the country's non-energy resource-based industries which retain a relatively important place in the Canadian economy but which suffered severely in the 1981/82 recession. Part III draws on the considerations of the foregoing sections to round off the Survey with some concluding observations.

I. RECENT DEVELOPMENTS AND PROSPECTS

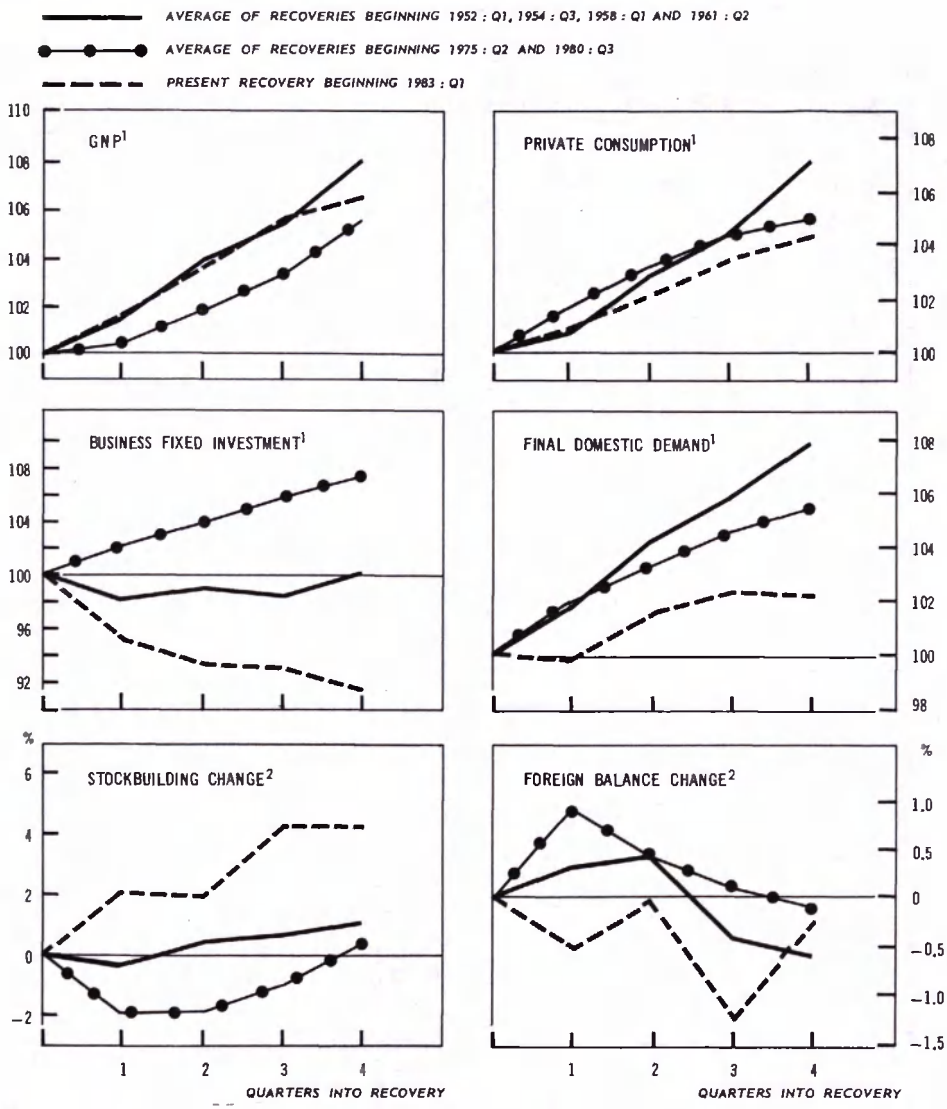
The past year or so has been one of recovery and consolidation for the Canadian economy. Not only did output growth accelerate faster than expected in the last Survey from its trough in the final quarter of 1982, but both wage and price inflation were cut in half and a rebound in profits has permitted corporations to strengthen their balance sheets. Although the first year of recovery proved in fact slightly stronger in Canada than in the United States, the preceding recession was much severer, and it was only in early 1984 that the previous peak output level was again approximately achieved[1]. However, only 70 per cent of jobs lost in 1981/82 have been recovered. Productivity growth has rebounded after successive years of mediocre performance. The unexpectedly strong United States recovery and coincident upward movement in that country's interest rates have been key factors shaping Canadian economic developments. While vigorous United States growth is reflected in continuing buoyancy of Canada's current external account, the renewed rise in United States interest yields has led to severe pressure on the Canadian exchange rate and frustrated the prospects for an easing of domestic interest rates. Composite forward indicators suggest a possible slow-down in the rate of growth, the extent of which will be heavily influenced by United States developments and imbalances in the structure of the recovery. The federal budget presented in mid-February this year confirmed the short and medium-term orientation of fiscal strategy as set out in April 1983. Accordingly, the general government budget impact, which was stimulative last year, may be about "neutral" in the forecast period.

Domestic demand, output and employment

Diagram 1 shows that, before slowing down in the last quarter of 1983, the overall demand and output profile of the present recovery conformed closely to the pattern of average pre-1973 upswings. GNP growth during the year to 1983:Q4 amounted to 6.6 per cent, compared with a pre-1973 average of 8.0 per cent. Quite sharp divergences in the structure of total demand emerge between the two reference periods. Relative weakness of final domestic demand last year has been counter-balanced by the impact of the inventory cycle, which contributed no less than 4 ¼ percentage points (over 60 per cent) of the 6 ½ per cent volume GNP increase. Private consumption, responding to a variety of stimulants, recovered last year despite no growth in real disposable income. Outlays were encouraged by the sharp decline in interest rates from mid-1982, while the easing in inflation and unemployment levels probably provided an important psychological boost. Furthermore, temporary fiscal measures and attractive financing arrangements offered by North American auto manufacturers, as well as the upswing in residential construction, may have stimulated the volume of durables purchases as well as influenced their timing[2]. The conventionally-measured average savings ratio declined from its 1982 historical high of 15.5 per cent by a substantial 2.4 percentage points. However, both consumer sentiments and spending decisions have proved somewhat erratic over recent months.

An important feature of the upturn so far compared with both past experience and recent United States developments has been the continued weakness of business (non-residential) fixed investment. Despite the recovery in output and concomitant rebound in profits, volume outlays declined on average by 12 per cent in 1983, with the weakness mainly concentrated on non-residential construction. Energy-related investments fell sharply after the rapid increase of recent years, while mining and manufacturing continued to cut back expenditure. However, the earlier 1980/81 boom had pushed up total investment outlays so strongly that their share

Diagram 1. **The recovery in historical perspective**



1. Trough = 100.
2. Cumulative percentage point contribution to GNP growth.

Source: Secrétariat estimates.

of volume GNP last year (13.3 per cent) was not much below their 1970s' average (14 per cent), despite the fact that capacity utilisation levels remain below historical trend levels. Furthermore, although progress has been made, corporate balance sheets have not yet recovered their pre-1980 strength and high real interest rates are exercising a depressive effect on business sentiments.

Table 1. **Demand and output**
Volume growth rate

	1982 $ billion	1980	1981	1982	1983	1981 II	1982 I	1982 II	1983 I	1983 II
						Seasonally adjusted[1]				
Private consumption	209.8	1.0	1.9	−2.1	3.1	−1.2	−3.7	0.1	3.6	4.9
Government consumption	77.2	0.8	0.5	0.5	0.3	3.6	−1.3	1.3	−1.5	3.0
Gross fixed investment	77.7	3.9	6.5	−11.7	−3.9	−3.9	12.9	−16.9	2.7	−2.1
Public	10.6	0.9	2.3	3.3	2.9	5.3	2.9	2.3	1.3	6.7
Private	67.1	4.3	7.1	−13.6	−4.9	−5.0	−14.9	−19.5	2.9	−3.5
Residential	13.0	−5.8	5.1	−23.1	27.6	−22.6	−28.9	−10.0	72.7	−1.0
Non-residential	54.1	7.4	7.6	−11.2	−12.2	0.1	−11.3	−21.5	−10.7	−4.3
Final domestic demand	364.7	1.6	2.7	−3.9	1.1	−1.1	−5.5	−3.6	2.5	3.1
Stockbuilding[2]	−9.7	−1.9	1.0	−2.9	2.4	0.2	−5.1	−1.4	3.3	4.3
Total domestic demand	354.9	−0.2	3.7	−6.7	3.5	−1.0	−10.2	−5.1	6.0	7.5
Exports of goods and services	101.4	1.9	2.8	−1.6	6.4	−1.1	−1.7	−1.7	4.4	19.4
Imports of goods and services	99.9	−2.0	3.8	−11.3	8.7	0.4	−18.3	−7.7	10.6	23.0
Foreign balance[2]	1.6	1.0	−0.3	2.7	−0.6	−0.4	4.9	1.6	−1.5	−0.9
Error of estimate[2]	0.1	0.2	0	−0.3	0.1	0.1	−0.4	−0.1	0.1	0.2
GNP	356.6	1.0	3.4	−4.4	3.0	−1.1	−6.4	−3.7	4.6	6.9

1. Annual rate of change over preceding half-year.
2. Percentage point contribution to GNP growth rate.
Source: Statistics Canada, *National Income and Expenditure Accounts.*

The volume of residential investment surged by 27 ½ per cent in 1983, boosted by falling mortgage interest rates, a decline in vacancy rates, various provincial support measures and, probably more importantly, by the temporary federal Canada Home Ownership Stimulation Plan (CHOSP). The CHOSP programme, providing for grants of $3 thousand for all new home buyers and first-time buyers of existing houses as well as relief from high interest rates, was terminated in May last year. Activity was concentrated on single dwelling units which benefitted most directly from this measure. Starts peaked in the second quarter at well below their record average 1976 level (221 vs. 273 thousand) and subsequently fell sharply in the second half of 1983 before recovering somewhat in the first quarter of 1984. Public sector final expenditure accelerated in the second half of 1983 as investment outlays expanded rapidly, but average volume growth for the year (0.7 per cent) fell well short of the planned rate. Various factors have slowed implementation of the Special Recovery Program, which was a key feature of the April 1983 federal budget's short-term strategy. The sharp fall in final domestic demand during the second half of 1982 pulled down its average 1983 growth rate to 1 per cent. Growth during the four quarters to 1983:Q4 amounted to 2.3 per cent, well short of both the pre- and post-1973 average upturn figures of 7.8 and 5.5 per cent respectively (see Diagram 1). Stockbuilding has made an unusually large contribution to the present recovery, but the ratio of non-farm business inventories to final sales is still far below trend. A recent survey reported that manufacturing stocks were nevertheless considered appropriate or too high by almost all (94 per cent) respondents. The extent of inventory liquidation, prompted by the preceding recession and facilitated by improved stock control methods, had been unprecedented. Indeed, replenishing of holdings only began in the second half of 1983.

Total output broadly regained its pre-recession (mid-1981) peak in early 1984. The forest industry benefitted primarily from a resurgence of United States residential construction, and manufacturing from the booming North American auto market, which in turn had important effects on "upstream" steel and mining. A swing back in consumer preferences toward larger units and quotas on imports helped boost sales of domestically-produced cars in Canada by some 28 per cent, while purchases of foreign cars dropped by 2 ½ per cent[3]. However, investment goods manufacturers suffered from the continuing decline in domestic business outlays. Statistics Canada's measure of capital capacity utilisation in overall manufacturing rose from a record low of 63.5 per cent in the final quarter of 1982 to a still rather modest 72.4 per cent by end-1983. Rates in the pulp/paper and primary metals industries have risen by around 11 and 16 percentage points respectively, but remain some 6-12 per cent below average levels in the 1970s. Activity in the construction industry, following a modest revival to mid-1983 induced by the resurgence in housing investment, subsequently slumped to its lowest level for a decade.

Canada's labour market has been the fastest-growing in the OECD area – the 2.6 per cent average annual increase in employment between 1960 and 1982 was well above the 1.8 and 0.9 per cent figures for the United States and the overall OECD respectively. Job creation has probably been favoured not only by the shift in demand and output structure toward the relatively labour-intensive service sectors, but also by the decline in real wages. A further contributing factor is that labour costs compared with the user cost of capital may, as in the United States, have been relatively favourable. Nevertheless, employment gains have been outstripped by growth of the labour force, which has reflected underlying demographic trends and immigration as well as a marked increase in the participation rate, particularly among women. Consequently, the Canadian unemployment rate has been above-average, and during the recent recession peaked at 12.8 per cent. Earlier Secretariat studies have suggested that structural imbalances – as evidenced by an unfavourable evolution of the relationship between vacancies and unemployment – and rigidities in the wage formation process appear to have been contributing factors[4].

Table 2. **Current economic indicators**

Percentage change from previous period, seasonally adjusted

	1983 Q1	1983 Q2	1983 Q3	1983 Q4	1984 Q1	1983 October	1983 November	1983 December	1984 January	1984 February	1984 March	1984 April
	Annual rates					Actual rates						
Gross domestic product	6.9	8.3	8.5	2.8	2.5	0.1	0.2	0.1	1.1	−1.1	0.2	
Industrial production	22.2	12.9	18.5	13.0	3.6	0.4	0.9	0.7	2.3	−3.3	0.1	
Retail sales (volume)[1]	5.2	6.0	4.5	3.6	7.3	2.1	−1.0	0.5	2.1	0	3.6	−3.6
Housing starts	90.7	185.0	−88.0	0.7	45.6	−11.3	4.0	4.6	10.2	1.3	−14.4	−3.8
Employment	1.8	5.1	5.0	1.5	0.6	−0.3	0.2	0.4	−0.4	0.5	−0.3	0.2
Unemployment rate[2]	12.5	12.2	11.6	11.2	11.2	11.1	11.1	11.1	11.2	11.3	11.4	11.4
Consumer prices[2]	2.7	4.2	6.6	4.7	4.6	0.6	−0.1	0.8	0.4	0.4	−0.1	
Commodity exports (volume)[4]	10.6	42.3	3.6	56.5	15.6	1.4	7.9	−0.2	1.7	−3.9	6.9	
Commodity imports (volume)[4]	48.1	40.6	26.3	37.8	16.7	1.6	3.2	0	−2.5	4.3	7.8	

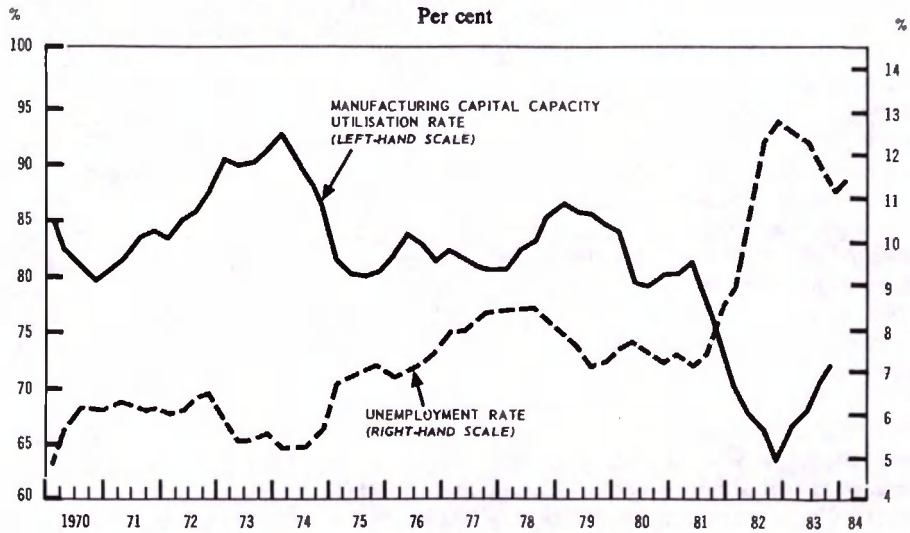
1. Value of retail sales deflated by consumer price index (seasonal adjustment by OECD Secretariat).
2. Percentage level.
3. Seasonal adjustment by OECD Secretariat.
4. Customs basis.

Sources: Statistics Canada, *Daily, Canadian Statistical Review* and *Summary of External Trade;* Secretariat estimates.

The cyclical revival in labour market conditions, which coincided with that in output, saw employment grow by 3.8 per cent during the twelve months to end-1983 to a level still short (by about 1 ¼ per cent) of its earlier peak. Subsequently, there have been some renewed signs of weakness and employment during the first four months of 1984 has shown no increase. Within manufacturing, less than one-half of the 15 per cent loss in jobs during the recession have been recovered, while construction industry employment has scarcely revived at all. Average hours worked have remained roughly unchanged; reduced short-time working or increased overtime have been balanced by the continuing longer-term trend towards part-time employment which so far in the recovery has accounted for almost 30 per cent of net job creation[5]. Although the increase in part-time work during the past two years has been predominantly involuntary, most part-time employees, who now account for about 17 per cent of total employment, remain so either by choice or on account of other constraints, such as family responsibilities. The expansion of tertiary activities has opened up abundant opportunities for persons seeking such employment[6]. Numbers covered by work-sharing agreements fell sharply in 1983. The increase in average per-capita labour productivity of some 2 ¼ per cent last year, following a 1 ¼ per cent decline in 1982, was rather modest by historical standards. However, the growth in manufacturing output per manhour (6.9 per cent) was the fastest recorded since 1971.

Despite a further decline in youth source population with the ageing of earlier baby boom cohorts, labour force growth increased somewhat last year with the attraction of previously "discouraged" workers back into the labour force. The number of such persons, which prior to the recent recession typically varied within a 40-60 thousand range, fell from a (seasonally-adjusted) peak of 137 thousand in September 1982 to some 103 thousand by last December. The measured unemployment rate fell from a peak 12.8 per cent in December 1982 to 11.1 per cent by end-1983 – a still relatively high figure compared to the OECD average – before rising back up to 11.4 per cent in April this year. Although the average period of unemployment has increased, it remains relatively short by international comparison, and the

Diagram 2. **Labour and capital resource use**



Source : OECD, *Main Economic Indicators.*

incidence of long-term unemployment relatively low[7]. Despite increased federal government spending on job creation/training programmes, which are largely oriented to younger people, the latters' unemployment rate compared with adults rose slightly last year but remains in line with typical relationships in other OECD countries.

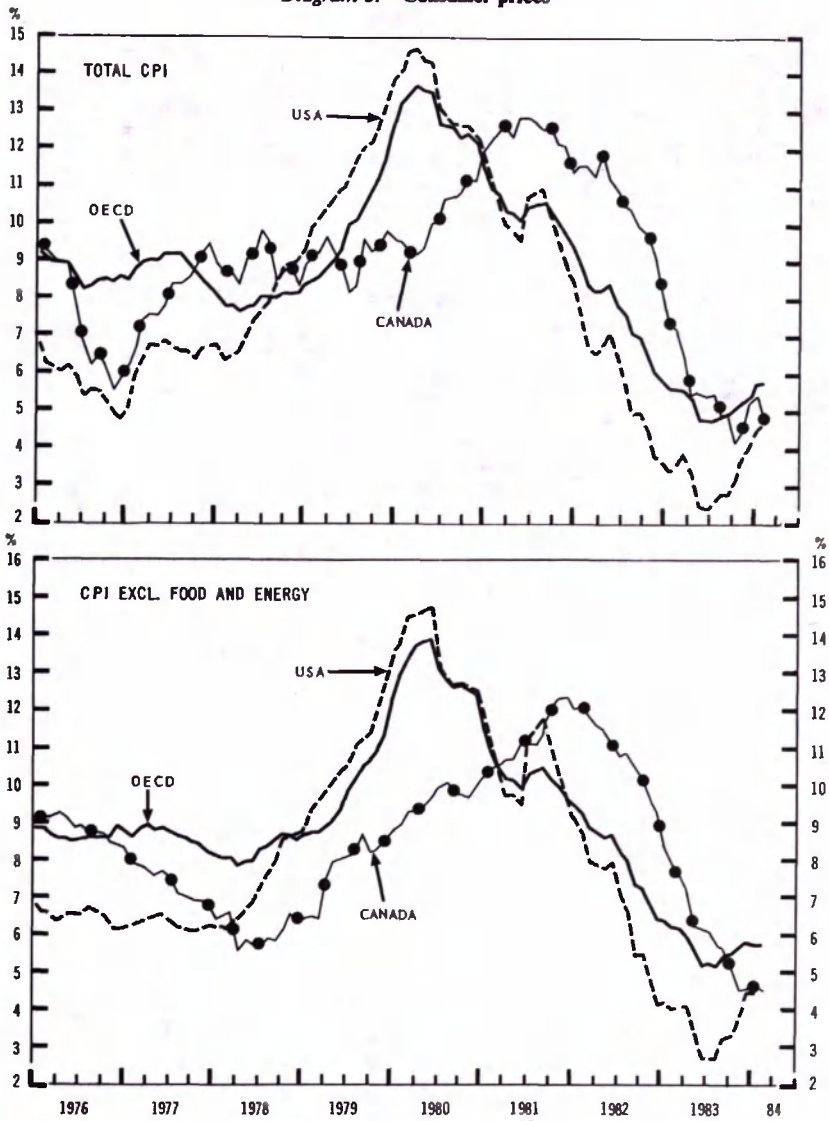
Prices and incomes

The fight against both price and wage inflation, a prime objective of economic policy, was buttressed last year by reduced external pressures (merchandise trade prices actually declined) and an improved productivity performance. The year-on-year increase in consumer prices dropped to 4.2 per cent by November – the lowest figure since mid-1972 – before drifting back up to 4.7 per cent by March this year partly under the influence of food prices. Canadian inflation has thus fallen from substantially above to below the overall OECD rate for the first time since the beginning of 1981, and now matches United States performance. The "underlying" rate (which excludes fuel and food) had already earlier been brought into line with the United States figure for the first time in two years. However, the deceleration in industry selling prices which began toward end-1979 has come to a halt; after fluctuating for the most part around the 3 ½ per cent mark last year, the rate has since accelerated to 4 ½ per cent.

The deceleration in wage inflation, which began in late 1982, saw increases under major collective agreements last year cut by more than half (4.9 vs. 10.2 per cent in 1982) to the lowest figure since collection of such data began in 1967. Contracts excluding cost-of-living adjustment (COLA) clauses averaged a 5.6 per cent increase, but by the final quarter were yielding only 3.6 per cent in the private sector and 4.2 per cent in the public sector[8]. Partial evidence suggests that, in contrast to Europe, there has been a tendency toward greater relative wage flexibility, although the incidence of wage concessions (including re-negotiation of existing unexpired contracts) appears to be less widespread than in the United States[9]. Within manufacturing, hourly earnings growth had decelerated to only 2.4 per cent by year-end – averaging 3.6 per cent for the year, compared with 4.0 and 5.8 per cent for the United States and the overall OECD respectively. The particularly depressed conditions prevailing in the construction industry have reportedly led to increased competition from non-union labour. With overall per-capita compensation rising by 4.7 per cent last year, a 1 per cent decline in "real" terms, household real disposable income remained roughly unchanged. The impact of a decline in property income receipts and higher unemployment insurance charges was largely counterbalanced by some easing in the income tax burden – owing not to discretionary measures, but rather to the composition of income – and a sharp drop in consumer interest payments.

The significant reduction in wage pressures, coupled with the revival of output, resulted in a marked deceleration in the growth of unit labour costs from 12.4 per cent in 1982 to 2.5 per cent last year. Within manufacturing the decline from 14.6 to 0.7 per cent was even more pronounced, but the beneficial impact on Canadian competitiveness[10] was eroded by a 2.1 per cent strengthening in the Canadian dollar's effective exchange rate. The favourable development in unit labour costs relative to producer prices, combined with higher output levels and a sharp reduction in interest charges, produced a marked shift in income distribution in favour of the corporate sector as pre-tax profits rose by 53 per cent last year. However, the severity of the preceding decline had been such that profits in the final quarter of last year were still almost 7 per cent below their 1980:Q4 peak and their share of national income (11.4 per cent) some 3 percentage points below the preceding ten-year average. Large industrial corporations' profit margins rose from 4.9 to 7.3 per cent, with about one-quarter of

Diagram 3. **Consumer prices**[1]



1. Percentage change over corresponding month of preceding year.
Source: Secretariat estimates.

the gain stemming from reduced interest charges. The improved operating results were broadly-based industrywise.

With direct tax liabilities alleviated by measures introduced in the April 1983 Budget, which extended the period during which operating losses could be offset against income, and with dividend payments reduced for the second consecutive year, retained earnings almost trebled in 1983. Rather than expanding capacity, businesses have applied these increased

Table 3. **Balance of payments**[1]

$ US billion

	1980	1981	1982	1983	1982 Q3	1982 Q4	1983 Q1	1983 Q2	1983 Q3	1983 Q4
					Seasonally adjusted					
Exports (fob)	67.6	72.5	70.5	76.1	18.2	16.9	17.4	18.9	19.1	20.6
Imports (fob)	59.8	65.9	55.0	60.9	14.0	12.7	13.9	14.4	15.8	16.8
Trade balance	7.8	6.6	15.4	15.2	4.2	4.2	3.5	4.5	3.4	3.9
Invisibles, net	−8.7	−11.4	−13.0	−13.9	−3.3	−3.4	−3.3	−3.5	−3.6	−3.6
Current balance	−0.9	−4.8	2.4	1.3	0.9	0.9	0.2	1.0	−0.2	0.3
					Non-seasonally adjusted					
Current balance	−0.9	−4.8	2.4	1.3	1.7	1.0	−0.5	0.9	0.2	0.7
Long-term capital (excluding special transactions)	1.4	−0.4	7.0	2.2	−0.3	−0.1	0.6	0.8	0.2	0.7
Private	0.2	−5.2	1.6	−1.5	0.3	0	−0.8	−0.3	−0.3	−0.1
Official[2]	1.2	4.8	5.4	3.8	−0.6	−0.1	1.4	1.1	0.5	0.8
Non-monetary short-term capital[3]	−2.3	−10.8	−6.0	−3.8	0.7	1.1	0.6	−3.1	−0.1	−1.2
Private monetary institutions short-term capital	1.2	16.1	−3.9	0.8	−1.1	−2.1	−0.2	1.5	−0.1	−0.5
Other[4]	0.2	0.3	0	0	0	0	0	0	0	0
Change in reserves (+ = increase)	−0.5	0.3	−0.5	0.4	0.9	−0.1	0.5	0.1	0.2	−0.4
Memorandum items										
Trade balance	7.8	6.6	15.4	15.2						
Automobile trade	−2.3	−2.5	1.2	1.6						
Other manufactures[1]	−7.2	−10.0	−6.4	−10.2						
Invisibles, net	−8.9	−11.4	−13.0	−13.9						
Travel	−1.1	−0.9	−1.0	−1.7						
Interest and dividends	−4.6	−5.5	−7.3	−7.6						

1. OECD/IMF definitions. Manufactures cover SITC items 5-9 inclusive.
2. Including portfolio transactions of public authorities and Canadian Government utilization of revolving standby credit facilities with domestic and foreign banks.
3. Including errors and omissions.
4. Mainly SDR allocations.

Sources: Statistics Canada, *Quarterly Estimates of the Canadian Balance of International Payments;* OECD Secretariat.

resources toward strengthening their balance sheets, which had been carrying a large volume of short-term floating rate debt when the recession began. Much short-term bank debt has been repaid or funded, while in general equity finance has been substituted for borrowing. Taking advantage of sharply rising stock market prices, a near-record $5.8 billion was raised in new equity, and by the third quarter of last year the average debt/equity ratio had been reduced to 1.42 from its 1.53 peak in the second quarter of 1982. In the light of relative interest rate movements, a large part of corporations' $2.5 billion bond raisings was from the domestic market.

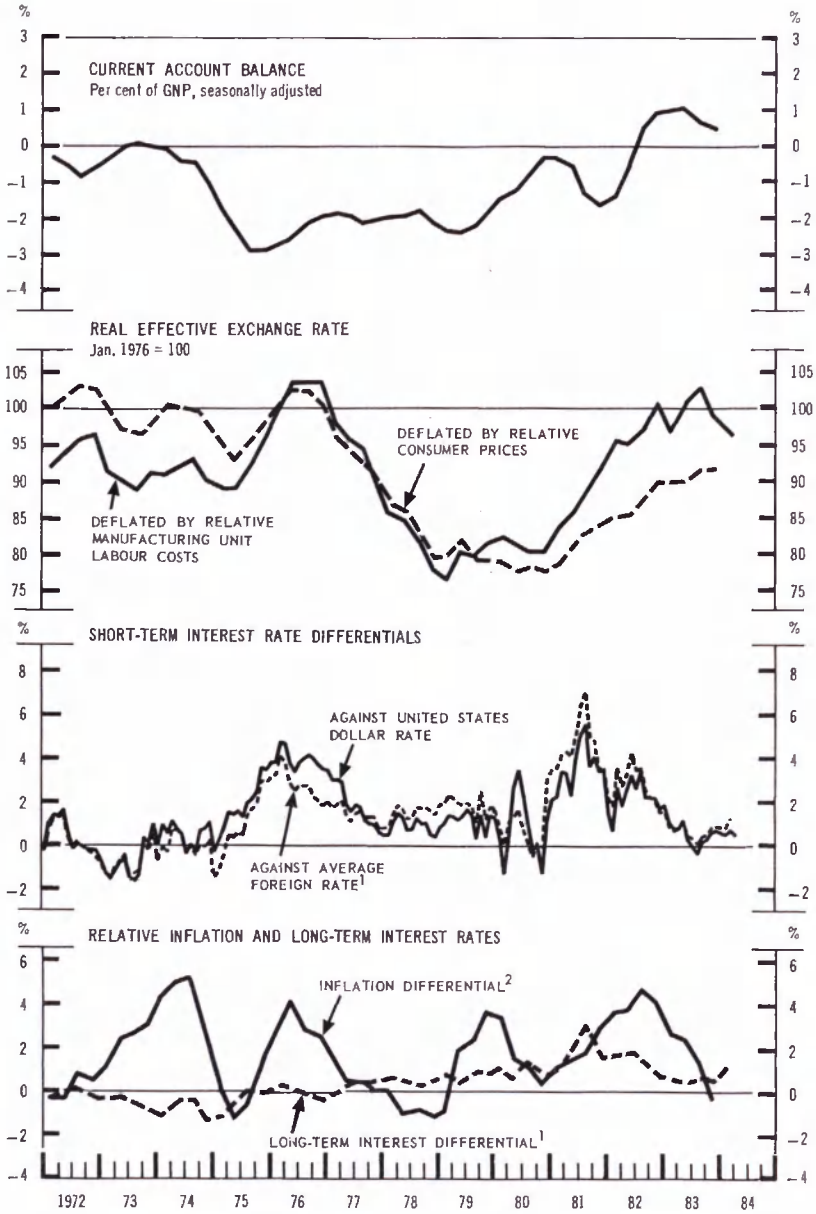
External sector

Last year's cyclical upswing narrowed slightly the substantial gap between the growth rates of external markets and that of import-weighted domestic demand and, coupled with the impact of recent years' erosion in competitiveness, resulted in a deterioration in the real foreign balance which reduced GNP growth by an estimated ½ per cent. However, manufactured goods exports managed to match the 11 ½ per cent growth in foreign markets, thanks to the favourable commodity composition of external demand. In response to booming auto sales in the United States, which moreover saw larger units rebound into favour, motor vehicle shipments (including parts) advanced by 20.8 per cent in volume. Other manufactured exports continued to decline in volume. The revival in United States residential construction activity contributed to a strong advance in lumber exports for the first time in five years. Measures to help the energy sector, which included the licensing of light crude oil exports, allowed a further appreciable increase in energy shipments. However, natural gas exports continued to decline despite price cuts to enhance Canadian suppliers' competitiveness.

Import-weighted domestic demand expanded by some 4.8 per cent in 1983, reflecting mainly consumer durables purchases and, in the second half, the rebuilding of inventories. The much faster growth of manufactured imports (up 18 per cent) was mainly linked to the reciprocal nature of motor vehicle trade with the United States rather than to unfavourable relative price movements[11]. Energy imports fell, while a surge in other raw material purchases was probably associated with the turnaround in the inventory cycle. Altogether, volume merchandise imports posted a 14.8 per cent increase, compared with 9 per cent for exports. A 3 per cent improvement in the terms of trade attenuated the resulting unfavourable impact on the trade balance which posted its second highest surplus (US$15.0 billion) after the record US$15.4 billion outcome in 1982. Bilateral United States trade accounted for 80 per cent of this figure. A surplus on oil trade was posted for the first time since 1974, but the non-automobile manufacturing trade deficit deteriorated sharply to a new record level. During the first two months of 1984 the trade balance remained in large surplus. The travel deficit, which appears sensitive to relative price and income movements, soared by over 60 per cent, but reduced dividend payments abroad and the decline in interest rates resulted in the deficit on net investment income account rising only modestly. The overall current account surplus almost disappeared in the second half, but averaged 0.4 per cent of GNP for 1983 as a whole.

The narrowing of interest rate differentials exercised a strong influence on long-term capital flows as Canadian private corporate borrowers turned to domestic sources. For the first time since 1980 there was a small inflow of direct foreign investment into Canada, possibly reflecting both the recovery in the economy and a recent streamlining of the Foreign Investment Review Agency's (FIRA) procedures. However, Canadian take-over activity abroad and certain other transactions resulted in a continued overall outflow on net direct

Diagram 4. **External account indicators**



1. Trade-weighted rate for ten other OECD countries (the other six major countries plus Belgium, Netherlands, Sweden and Switzerland).
2. As measured by trade-weighted GDP deflators for the other six major OECD countries.

Source : Secretariat estimates.

investment. Short-term capital movements, which in recent years have tended to be dominated by banking transactions related to corporate take-over activity and adaptation to certain provisions of the 1980 Bank Act, turned into a net inflow in 1983. After fluctuating around a broadly unchanged level during the first three quarters of 1983, Canada's bilateral exchange rate vis-à-vis the United States dollar has on occasion come under pressure – most recently during the March/May period of this year as interest rates rose in the United States – and required the authorities to intervene in the markets. The effective exchange rate strengthened during most of 1983, but, after holding steady during the final quarter, weakened by some 4 per cent between end-1983 and early May 1984. Canada's official foreign exchange reserves fluctuated little during 1983, increasing on balance over the year by US$0.8 billion to US$4.2 billion.

Economic policy

The April 1983 budget incorporated an explicit medium-term strategy centred around a short-term boost to reinforce the then incipient recovery and measures to support investment over the medium-term, together with a tightening of fiscal stance during the second half of the budget planning period. On a national accounts basis, a reduction in the federal deficit – perhaps one-third of which may be "structural"[12] – was projected from 6.7 per cent of GNP in fiscal 1982/83 to 3.4 per cent by 1986/87. The February 1984 budget, in re-affirming the overall strategy and objectives of its predecessor, did not introduce any new demand management initiatives. The public prices/charges element of the "6/5" 2-year restraint programme, which was introduced in June 1982, has been extended beyond mid-1984 (the guideline being lowered to 4 per cent), but controls over federal wages are being allowed to lapse. Provincial government finances, which appear less sensitive to cyclical influences than the federal budget, were also substantially weakened by the 1981/82 recession. Accordingly, provincial budgets in 1983 generally adopted a restrictive stance in an effort to strengthen their fiscal positions. While recognising the desirability of reducing domestic interest rates in line with improvements in domestic inflation performance, monetary policy leeway continues to be heavily influenced by developments in United States financial markets.

Fiscal policy

The April 1983 federal budget projected income and expenditure growth of some 8.9 and 12.0 per cent (national accounts basis) respectively during fiscal 1983/84 and a deficit of $28.3 billion (7.4 per cent of GNP) compared with an estimated $23.5 billion in 1982/83 (the fiscal year runs from April to March). A Special Recovery Program, the cost of which is split equally between public works and fiscal measures to stimulate private sector investment, formed the centrepiece of the budget, which was assessed by the Secretariat to have a stimulative impact equal to around ½ per cent of GNP in calendar 1983. Recently revised estimates show income growth closely on track (9.2 per cent) but outlays lagging (9.8 per cent), resulting in a somewhat lower deficit ($25.5 billion). The slower than expected growth of outlays reflected primarily lower transfers to persons (particularly unemployment insurance payments) and generally lower operating costs. Revenue growth was reduced by discretionary measures to bolster corporate cash flow as well as by a decline in energy-related revenues both prior, and in response, to price and volume developments in energy markets[13]. The 1983/84 provincial budgets generally adopted a cautious, restraining stance in reaction to the impact of the recession on their finances – particularly noticeable in the case of the resource-rich provinces. Measures of expenditure restraint included various schemes

Table 4. Government finances[1]

	General government 1983	Federal government			Provincial-local-hospitals sector			General government[2]			Federal government budget 1984/85[3]
		1981	1982	1983	1981	1982	1983	1981	1982	1983	
	$ billion	Percentage change									
Direct taxes											
Persons	63.1	24.6	10.0	10.3	23.9	10.7	8.4	23.3	10.9	8.5	15.3
Corporations	12.7	7.2	−21.4	26.2	−4.7	−34.8	40.4	3.7	−25.0	29.5	21.5
Indirect taxes	50.4	55.3	−7.7	−8.1	14.2	13.2	10.3	28.0	4.7	3.7	7.8
Investment income	25.2	14.7	14.0	12.4	12.2	14.0	7.6	13.9	14.7	9.8	3.5
Transfers from other levels of government	n.a.	n.a.	n.a.	n.a.	9.8	12.0	10.1	n.a.	n.a.	n.a.	n.a.
Other[4]	11.4	12.1	9.9	0.3	12.6	12.7	15.1	12.5	12.1	11.8	8.9
Total revenue	162.7	27.4	0.6	7.1	14.1	10.4	10.6	20.5	6.2	8.7	13.1
Current consumption	83.4	20.0	13.3	5.3	13.2	12.7	8.9	14.8	12.8	8.0	9.1
Capital formation	11.2	−0.6	42.1	23.3	13.9	11.0	2.2	12.1	14.4	5.0	30.5
Transfers to persons	49.7	13.4	31.0	15.0	15.1	12.8	12.2	14.8	23.4	14.6	7.7
Debt interest	27.7	38.8	21.4	4.5	15.5	17.0	14.0	29.4	19.8	7.8	12.4
Subsidies	7.9	17.4	−13.1	1.2	10.3	6.8	4.1	15.6	−8.3	2.0	10.6
Transfers to other levels of government	n.a.	9.8	12.0	10.1	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	6.8
Other[5]	5.4	7.3	105.2	35.7	−8.7	50.9	113.6	4.8	96.8	44.1	5.4
Total expenditure	185.5	18.2	19.3	10.0	13.6	12.9	9.6	16.5	16.4	10.0	9.2
Surplus (+), deficit (−)											
$ billion	−22.7	−7.0	−20.5	−24.5	−0.1	−2.2	−1.5	−3.8	−18.9	−22.7	−25.0
As per cent of GNP		−2.1	−5.7	−6.3	−0.0	−0.6	−0.4	−1.1	−5.3	−5.9	−5.8

1. National accounts basis.
2. Including Canada and Quebec Pension Plans.
3. Fiscal year April to end-March.
4. Withholding tax, transfers from persons and capital consumption allowances.
5. Capital assistance and transfers to non-residents.

n.a. not applicable

Source: Statistics Canada, *National Income and Expenditure Accounts.*

introduced both prior to, and following, the Federal Government exhortation to adopt compensation restraint measures consistent with the 6/5 programme.

Although, as indicated in Table 4, a marked deceleration in debt interest charges helped to almost halve the federal expenditure growth rate in calendar 1983 compared with 1982 and revenue growth accelerated thanks to corporate tax inflows, the deficit rose from 5.7 to 6.2 per cent of GNP. The combined PLH sector (provincial and local governments together with hospitals) deficit was reduced slightly during calendar 1983 (by the equivalent of 0.2 per cent of GNP) as a strong rebound in corporate income tax revenue and a reduction in final expenditure growth offset a slowing in personal tax receipts. However, this reduction was matched by a fall in the Canada and Quebec Pension Plans' surplus. Secretariat estimates suggest that the general government sector – whose deficit equalled 5.9 percent of GNP, compared with an average 4.0 for the other major six OECD countries combined – exercised a stimulative impact equal to ½ per cent of GNP last year[14]. As in other OECD countries, general government claims on private sector savings has increased rapidly in Canada in recent years[15], but the weakness of private sector credit demand enabled the government deficit to be accommodated without difficulty last year – indeed, the share of foreign borrowing was reduced. Federal debt management saw increased reliance on Treasury Bills, which proved attractive to the banks as corporations reduced their short-term borrowing, as well as the introduction of 2-year bonds for the first time and the auction technique for their marketing. The Canadian general government debt as at end-1983, equal to some 55 percent of GNP, was somewhat higher than the average for the other six large countries (50 ½ percent).

Fiscal 1984/85 federal revenue and expenditure are projected to rise by 13.1 and 9.2 per cent respectively, according to the February 1984 budget, leaving the deficit virtually unchanged at around $25 billion, but lower (5.8 per cent) in relation to GNP. The acceleration in revenue growth and slight deceleration in outlays are predicated essentially on continued cyclical recovery; volume GNP and employment are assumed to increase by 4.9 and 3.5 per cent respectively in calendar 1984. New fiscal measures are estimated to have only a minimal net effect on budget flows, although revenue will be strengthened by the phasing-in later this year of the "Special Recovery Tax" (SRT) as announced in last year's budget[16]. On the other hand, important structural initiatives have been taken in the form of discussion papers proposing reforms inter alia in the area of pensions, profit sharing, and tax simplification for small businesses. Partial information indicates that provincial budgets are maintaining a restrictive stance and Secretariat estimates suggest that the discretionary impact of general government operations both this year and next may be broadly "neutral".

Revised medium-term government financial projections to fiscal 1987/88 differ little from those presented in April 1983. National account revisions by Statistics Canada resulted in higher projected revenues in the February budget, which more than compensated for the estimated net cost of new initiatives. On the expenditure side, higher public debt charges are the main factor pushing up earlier estimates (by between 1.5 and 1.7 per cent). On balance, the 1986/87 deficit projection is slightly higher (by $0.6 billion) and increases marginally in 1987/88, the terminal year for the latest projections, but in relation to GNP (3.3 per cent) the shortfall virtually halves from 1983/84 (6.5 per cent). The projections are based on an assumed average GNP volume growth rate of 4.0 per cent between 1984 and 1988, which could prove optimistic[17]. Projected general government deficits decline to 2.0 per cent of GNP by calendar 1988 from an estimated 5.4 per cent in 1983[18]. The strengthening of federal finances, which appear more responsive to cyclical conditions, is much more pronounced than for other levels of the administration.

Monetary policy

Discontinuation of monetary growth targets in late 1982 does not appear to have modified the conduct of monetary policy in any essential fashion as the reduction of inflation has remained the authorities' primary objective. Given the degree of integration of Canadian with United States financial markets, exchange rate movements continue to be of major concern because of their implications for domestic inflation[19]. Generally speaking, financial markets were less turbulent last year than in 1982, as evidenced by a narrower range of interest rate fluctuations. The marked easing in inflation has broadened the potential scope for domestic interst rate reductions which, given the weakness of business fixed investment, would appear desirable. While buoyancy of the current account was probably an important factor allowing certain short-term yields to slip below comparable United States rates for a time around mid-1983 without provoking pressures on the Canadian dollar, the latter suffered a significant depreciation towards the end of 1983 and early in 1984 with the rise in United States yields. The currency has dropped down to its lowest bilateral level since mid-1982, provoking at times heavy intervention by the Canadian authorities and an upward adjustment of interest rates. Consequently "real" interest yields have been forced up further to unusually high levels.

During much of last year the respective growth patterns of the various money supply measures diverged markedly, with the narrower aggregates (M1 and M1A) expanding much faster than the broader entities (indeed M3 declined for a number of months). The more rapid growth of the narrow aggregates, particularly during the first half of 1983, reflected a response to the earlier substantial decline in interest rates. As these effects subsided, M1A growth decelerated to an annual rate of 9.8 per cent over the three months ending April 1984 (from 14.5 per cent six months earlier), while M1 levelled off due to the further influence of financial innovation. Growth of the broader aggregates reflected primarily the weakness in chartered bank lending[20].

Industrial policy

Canadian industrial policies have been broadly designed to provide general assistance for restructuring and promoting research and development. Thus, aid has generally been extended to promote positive adjustment on the part of labour and capital. Aid mainly takes the form of loan guarantees, whereas subsidy payments, though increasing during the 1970s, are still rather small by international standards[21]. Seven previous industrial, regional and trade development schemes have now been replaced by a single Industrial and Regional Development Program, with a view to rationalising administration as well as enhancing available benefits and their geographic coverage. Activities qualifying for federal assistance include:

a) Modernization and expansion of productive facilities;
b) development of new products and processes;
c) industrial restructuring;
d) establishment of industrial infrastructure;
e) market research; and
f) establishment of new production facilities for manufacturing, processing and selected service sectors.

The maximum aid available is determined according to a composite "development index" estimated for each of Statistics Canada's 260 census divisions and on the basis of which the country is divided into four "Tiers"[22]. For example, the maximum subsidy for new plant

establishment ranges from 60 per cent of eligible capital costs in Tier IV to 35 per cent in Tier II (in this instance, no aid is available in Tier I). Tier II aid is considered broadly equivalent to that available under the earlier programmes.

Energy policy

In June last year the Federal and Alberta governments amended their bilateral agreement of September 1981, as softening energy market conditions partly offset earlier measures (e.g. those contained in the National Energy Program Update of June 1982) to boost the oil/gas sector's cash flow. The following changes were made to oil prices:

a) The price of oil produced from reserves discovered before 1974 was frozen at its current level rather than reduced to its agreed parity ceiling (75 per cent of the world price) and

b) the new oil reference price (NORP) was extended to oil produced from reserves discovered between 1974 and 1980[23].

The fall in international oil prices also resulted in the average crude oil cost to refiners (blended price) in 1983 reaching about 97 per cent of world parity, as measured by the landed price in Montreal. The domestic natural gas price has been capped at 65 per cent of the energy equivalent of this blended oil price and last year the Natural Gas and Gas Liquids Tax (NGGLT) rate was reduced in order to allow producer prices to rise without violating this ceiling. In addition, annual increases above 5 per cent in the cost of moving gas are being subsidised by the federal government up to 1985, thus creating scope for increases in the price of gas at the wellhead. A Volume Related Incentive Pricing (VRIP) scheme was announced in July in response to industry calls for greater competitiveness in natural gas export price setting in order to promote sales. A doubling of petroleum product prices between 1980 and 1983 has contributed to a decline in demand by some 22 per cent over the same period. Nevertheless, prices remain lower than in most other OECD countries owing largely to differences in indirect taxes.

As indicated earlier, the domestic energy sector's finances strengthened last year in response to policy measures designed to counter the impact of continuing slackness in world and domestic energy markets. Crude oil exports rose strongly (36.3 per cent) and local suppliers increased their share of the domestic market (domestic consumption fell by 5.9 per cent) as oil imports were cut back sharply (down 24.3 per cent). With volume exports of refined products up by 39.6 per cent, the oil sector made a positive contribution to the foreign trade balance for the first time since 1974. Although VRIP applied to around 10 per cent of foreign sales last year, volume natural gas output and net exports continued falling (by 7.2 and 9.2 per cent respectively).

Short-term prospects

While the OECD composite leading indicator suggests that industrial production should continue to expand at around the rate attained in late 1983, the more broadly-targeted Statistics Canada indicator points to some slowing down in activity over coming months. On balance, output growth is projected to be slightly more buoyant than for the OECD area as a whole. Recent indicators of both consumer and business sentiments have been mixed, as the sharp deterioration registered in the fourth quarter of 1983 was largely reversed in the first quarter of this year. Any weakening in private domestic demand would emphasise the key role which exports may play in the near term for the sustainability of the upswing. The likely net impact of external developments during the period to end-1985 is, however, unclear. Export

Table 5. **Short-term prospects**

Volume percentage change

	1982 Per cent of GNP	1983	1984	1985	1983 I	1983 II	1984 I	1984 II	1985 I	1985 II
					Seasonally adjusted[1]					
Private consumption	58.8	3.1	3.2	2.1	3.6	4.9	2.9	2.2	2.2	2.0
Government consumption	21.7	0.3	3.9	2.6	−1.5	3.0	4.5	3.5	2.5	2.0
Gross fixed investment	21.8	−3.9	0.8	4.2	2.7	−2.1	0.7	4.0	4.2	4.2
Public	3.0	2.9	9.7	3.6	1.3	6.7	12.0	8.0	3.3	0
Private	18.8	−4.5	−0.7	4.2	1.2	−3.8	−1.3	3.3	4.3	5.0
Residential	3.6	27.6	−1.0	3.5	72.7	−1.0	−2.0	1.0	4.0	5.0
Non-residential	15.2	−12.2	−0.6	4.5	−10.7	−4.3	−1.0	4.0	4.5	5.0
Final domestic demand	102.3	1.1	2.8	2.6	2.5	3.1	2.8	2.8	2.7	2.4
Change in stockbuilding[2]	−2.7	2.4	1.1	0.4	3.3	4.3	−0.2	0.7	0.5	−0.1
Total domestic demand	99.6	3.5	4.0	3.0	6.0	7.5	2.5	3.5	3.1	2.3
Exports of goods and services	28.5	6.4	12.1	3.9	4.4	19.4	12.0	5.8	3.3	3.4
Imports of goods and services	28.0	8.7	10.2	4.1	10.6	23.0	7.1	5.2	3.7	3.8
Change in foreign balance[2]	0.4	−0.6	0.4	0	−1.5	−0.9	1.2	0.2	−0.1	−0.1
Error of estimate[2]	0	0.1	0.1	0	0.1	0.3	0	0	0	0
GNP		3.0	4.5	2.9	4.6	6.9	3.8	3.6	3.0	2.2
GNP deflator		5.8	4.6	5.1	5.4	3.7	5.0	4.5	5.5	5.0
GNP at current prices	100.0	9.0	9.2	8.2	10.3	10.8	9.0	8.3	8.7	7.3
Memorandum items:										
Consumer prices[3]		5.9	5.0	5.2	4.5	5.0	5.0	5.0	5.2	5.3
Industrial production		6.0	7.1	3.1	10.4	16.0	4.5	4.0	3.0	2.5
Total employment		0.7	2.9	2.1	1.4	4.3	2.6	2.3	2.1	2.0
Unemployment rate[4]		11.9	11.3	11.0	12.4	11.4	11.4	11.2	11.1	10.9

1. Annual rate of change over preceding period.
2. Percentage point contribution to GNP growth rate.
3. National accounts deflator for private consumption.
4. Per cent of labour force.

Source: OECD Secretariat.

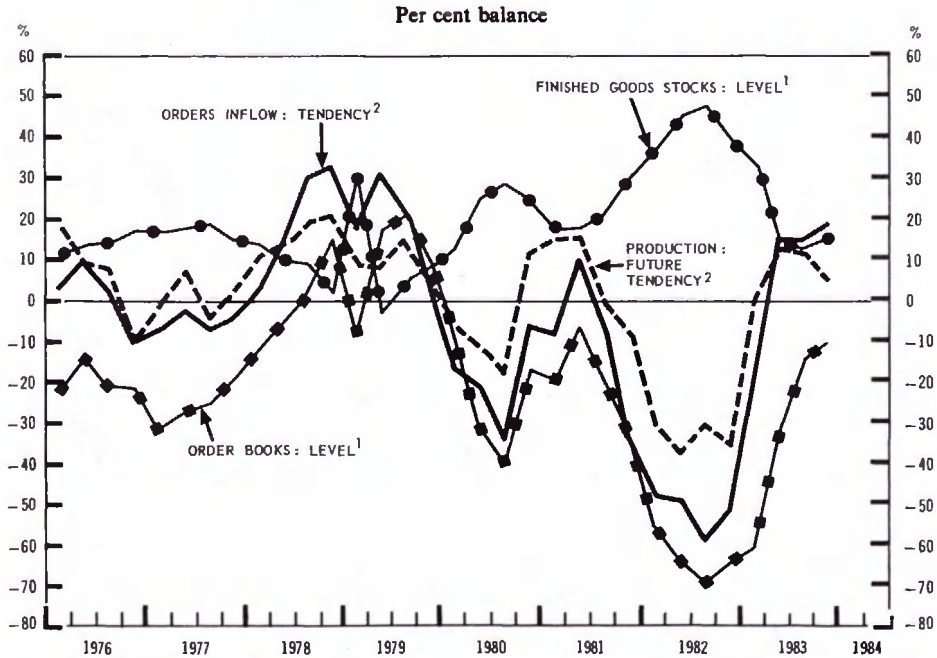
market growth for manufactures should remain buoyant, at least this year[24]. However, developments in United States financial markets could put pressure on the exchange rate and domestic interest rates, thereby adversely affecting interest-sensitive expenditure. International prices may not contribute to dampening domestic inflation as in 1983. While general government budgetary operations may on average be broadly "neutral" up to end-1985, they could add some support to activity in the near term as lags in implementing Special Recovery Projects are overcome.

Household savings behaviour in the face of continuing high levels of unemployment and interest rates remains a major uncertainty in the outlook for the Canadian economy. Relatively sluggish real disposable income growth, reflecting inter alia a further shift in income distribution toward profits, could lead to a further reduction in the household savings rate. However, on balance, given the mixed indicators of consumer sentiments[25] and the reduced backlog of durables purchases, the present projections assume a relatively limited reduction in the savings rate from 13.1 per cent in 1983 to around 11 per cent on average in 1985. In total, private consumption is expected to grow by 3 ¼ per cent in 1984 – about the same as in 1983 – and by 2 per cent next year.

Business fixed investment, after remaining weak in early 1984 despite the recent revival in output and strong rebound in profits, is projected to pick up from the second half of the year and to continue growing by 4-5 per cent in 1985. Capacity utilisation rates are at present still relatively low and some further consolidation of balance sheets will be required to bring them in line with the pre-1980 situation. The 1984 forecast is slightly stronger than implied by

Diagram 5. **Manufacturing business sentiments surveys**

Per cent balance



1. Position relative to normal level.
2. Assessment of direction of short-term change.

Source: OECD, *Main Economic Indicators.*

Statistics Canada's Private and Public Investment (PPI) survey (which indicates a 0.4 per cent decline in current-price terms). Outlays are expected to focus on plant and equipment installation, although Statistics Canada's leading indicator of construction activity suggests that business building could begin to improve slightly. Latest developments in housing starts point to some renewed weakness, but some boost can be expected from temporary concessions granted in respect to Registered Home Ownership Savings Plans (RHOSP) which expire at end-1984. Eligible RHOSP contributors who purchase newly-constructed homes and associated furnishings before end-1984 may deduct from taxable income the amount needed to bring total deductions up to their $10 000 limit. The PPI survey reports a planned 2.3 per cent increase in nominal outlays on housing this year. Taking into account the recent rise in mortgage interest rates, residential starts may vary little from their 1983 level.

Altogether, private final domestic demand is forecast to expand by 2 ½ per cent in volume both this year and next. A bunching of Special Recovery Projects should boost public investment in 1984 and, taking into account some rebound in current outlays, general government final expenditure is projected to increase by around 4 ¾ per cent in 1984. The rate may ease to about 3 per cent next year with the run-down in Recovery Projects. Although stock/sales ratios are low by historical standards, inventory accumulation is constrained to rise broadly in line with output. Total domestic demand may accordingly increase by around 4 per cent this year which, although exceeding the 1983 outcome (3.5 per cent), represents an appreciable slowing-down of within-year rates. Growth of 3 per cent is projected for next year.

Canada's manufacturing exports markets are forecast to grow on average by 15 ½ per cent in 1984, reflecting in part an appreciable carry-over element from 1983. The lagged effect of earlier losses in competitiveness should be largely compensated by the continuing favourable commodity composition of United States demand. Raw material shipments will benefit from the buoyancy of external demand, but energy exports will likely decline this year following expiration of the temporary licensing of light crude oil exports. Overall goods and service exports are projected to rise by 12 per cent in volume this year. A sharp deceleration in market growth in 1985 will impact on export prospects and, while Canadian manufacturers' competitive position could roughly stabilize, the composition of demand may become less favourable. Import growth is expected to moderate sharply after its late-1983 surge as consumer durables demand slackens and outlays on machinery and equipment remain sluggish, although some bounce-back in oil imports is likely. On average, the real foreign balance should provide some net stimulus to overall growth this year but be broadly neutral in 1985.

In all, volume GNP growth is likely to slow down over the forecast period, averaging 4 ½ per cent this year and 3 per cent in 1985, which could prove to be stronger than the overall OECD rate of growth. Manufacturing industry, whose order inflows have on the whole remained buoyant, thanks essentially to export demand, should continue to experience improved conditions during the present year. However, the construction industry is likely to remain relatively depressed. The projected slowdown in output growth should reflect only with a lag on labour markets, but progress in reducing current high unemployment levels may nevertheless be limited. Although the shift toward part-time work is expected to continue, the favourable impact on unemployment may be partly offset by the return of "discouraged" workers to the labour force. On balance, the present forecast shows unemployment remaining around the 11 per cent mark.

Slack labour market conditions should continue to dampen private-sector wage settlements, although the possibility of a spill-over from key sectors experiencing relatively buoyant conditions is not to be excluded. The auto and forest industries are among the most

important groups facing wage negotiations this year, and the British Columbia forest industry has already experienced strike and lock-out action. Although the wage control element of the Federal 6/5 programme is not being extended beyond mid-1984, the overall budgetary position of the various administrations, as well as continuing restraint schemes in certain provinces, is assumed to result in moderate public sector settlements. Unit labour costs are consequently expected to rise only moderately for the economy as a whole – by about 3 per cent this year (slightly above the 2.5 per cent 1983 figure) and 4 per cent in 1985. A roughly parallel development within manufacturing would result in an increase this year of around 1 ½ per cent (after rising by less than 1 per cent in 1983). Taking account of exchange rate influences, Canadian manufacturers' competitivity could improve marginally this year and remain stable in 1985.

While domestic cost pressures within manufacturing and most services should remain moderate, export and import prices may increase by around 5-6 per cent this year after having fallen in 1983. Overall consumer prices (deflator) are projected to rise by around 5 per cent at an annual rate over the forecast period, with food prices rising somewhat faster this year even though easing after their recent acceleration. Corporate profits should continue to recover, although their growth rate is likely to slow down sharply. Household real disposable income is forecast to increase by some 1 ½ and 1 per cent this year and next respectively.

The real foreign balance may, as indicated above, have some positive effect on output growth this year, but the terms of trade could, if anything, deteriorate slightly. The foreign trade balance is, accordingly, projected to strengthen to around US$18 ½ billion in 1984 and vary little from that level next year. However, the invisibles deficit may rise rapidly owing in part to the upward drift in interest rates. On balance, the overall current account is projected to remain in surplus amounting to 0.7 per cent of GNP this year, easing to 0.6 per cent in 1985.

The forecast is subject to a number of uncertainties, which on balance imply a risk that the outcome could prove less favourable. Initially, at least, exports are projected to continue playing a leading role in maintaining the momentum of recovery, upon which a subsequent revival of business investment is contingent. Export prospects are, however, highly dependent upon certain volatile elements of United States demand which could prove vulnerable to possible interest rate movements. Developments in international financial markets will also have important direct domestic implications. Further upward pressure on United States yields could, depending on the nature of the Canadian authorities' policy response, prejudice the interest-sensitive elements of domestic demand or increase the risks of rekindling inflationary pressures. Some further reduction in the household savings ratio has been assumed, but the uncertainties created by continuing high unemployment and interest rate tensions could prevent this coming about.

II. THE NON-AGRICULTURAL RESOURCE SECTOR

The recent period of slow growth in the world economy proved to be particularly difficult for the resource industries. Although the latter typically experience relatively volatile market conditions, the most recent world recession had an even more dramatic impact than might have been expected on the basis of previous experience. Canada, whose resource-based industries are larger than in most other OECD countries, was subject to correspondingly more intense external pressures, which to some extent explains the amplitude of the 1981/82 recession. The peak to trough decline in metal mining and resource-based manufacturing

Table 6. **Structure of traded goods output**[1]

Per cent

	1961	1971	1981	Average annual change				Annual volume change		
				1961 to 1971		1971 to 1981				
				Volume	Price[2]	Volume	Price[2]	1981	1982	1983
Primary industry	28.8	25.1	33.5	4.9	1.3	1.1	16.3	1.8	−5.7	5.0
Agriculture[3]	13.0	11.5	11.5	4.0	1.6	1.9	12.0	11.0	3.3	0.7
Forestry	3.4	2.4	2.2	4.3	0.2	1.7	13.1	−3.4	−18.4	23.5
Mining[4]	12.4	11.2	19.9	6.0	1.2	0.2	20.4	−5.2	−12.1	6.2
Basic manufacturing	32.4	30.6	28.6	4.8	1.7	2.4	10.0	0.1	−10.8	8.0
Food	10.9	10.4	8.7	4.5	2.2	2.2	9.5	2.4	−1.9	0.6
Forest products	10.7	9.4	9.7	4.6	1.2	2.9	11.0	−2.2	−10.9	15.4
Primary metals	6.3	6.5	5.4	5.4	2.2	2.4	9.2	0.4	−20.0	10.4
Non-metallic mineral products	2.6	2.9	3.3	5.4	3.1	2.3	8.2	1.4	−20.3	9.6
Petroleum and coal products	1.9	1.4	1.5	4.9	−3.7	0.2	13.4	−6.5	−12.5	−3.3
Other manufacturing	38.8	44.3	37.9	7.3	1.3	3.9	8.4	3.3	−13.2	5.2
Total traded goods	100.0	100.0	100.0	5.9	1.4	2.8	11.2	2.0	−10.8	6.0
Memorandum:										
Traded goods GDP share	35.6	30.5	30.7							
GDP growth				5.7	3.1	3.8	9.5	3.0	−4.9	2.6

1. Factor cost, current prices.
2. Deflator, 1971 prices.
3. Includes fishing and trapping.
4. Includes mineral fuels.

Sources: Statistics Canada, *Real domestic product by industry, Gross domestic product by industry, Manufacturing industries of Canada.*

amounted to between over one-half and one-quarter compared with one-fifth for total manufacturing. As these industries still mostly face very difficult conditions despite last year's recovery, the following paragraphs examine their place in the economy, their performance over the past two decades, and aspects of the problems which surfaced during the recession, before briefly reviewing their medium-term prospects. Agriculture is not considered here, and as previous Surveys have discussed energy sector developments in conjunction with the National Energy Program, emphasis is placed on metal mining and forestry together with their associated manufacturing branches.

Resource sector role in the economy

Canada's primary industries currently account for 10 per cent of GDP (Table 6). Adding those manufacturing activities which involve a relatively low degree of raw materials processing, the natural resource-based industries contribute close to 20 per cent of Canadian GDP – a share matched in few other OECD countries[26]. This figure had been somewhat higher at the beginning of the 1960s (close to 22 per cent), but declined to 17 per cent during the ensuing ten years. The resource-based share of traded goods output was about the same in 1981 as in 1961 (around 60 per cent), after having fallen to about 55 per cent in 1971. There is a striking contrast between volume and price developments in the 1960s and 1970s, particularly for primary products. In the 1960s traded goods output rose faster and prices slower than for total GDP, but the situation reversed in the 1970s, largely on account of relative output and price developments in the resource-based industries. Mining is dominated by the petroleum and gas industries which account for almost two-thirds of the value of production, while the share of each of the major metals varies between 3 and 3 ½ per cent[27]

Table 7. **Regional economic structure, 1981**

Per cent

Region	Agriculture	Forestry	Mining	Manufacturing	Wood	Pulp/paper	Basic metals
	Share of total goods output				Share of manufacturing output		
Atlantic region	5.2	3.6	12.7	42.4	4.6	..	..
Quebec	5.0	1.5	4.1	65.7	4.1	12.4	7.7
Ontario	5.7	0.8	5.2	70.2	1.6	5.9	9.2
Manitoba	22.6	0.4	10.0	44.0	3.1	6.1	5.8
Saskatchewan	44.1	0.6	23.8	12.1	5.1	..	..
Alberta	10.3	0.2	47.3	16.3	6.4	4.3	7.1
British Columbia	4.0	7.6	11.6	44.5	23.1	19.5	7.8
Canada	8.4	1.6	14.4	52.0	4.7	9.9	8.2
	Regional distribution of output						
Atlantic region	3.0	10.4	4.3	3.9	3.8	..	..
Quebec	12.9	19.2	6.1	27.5	23.5	35.1	25.9
Ontario	25.1	17.5	13.4	50.1	17.9	30.2	56.8
Manitoba	8.9	0.8	2.3	2.8	1.7	1.8	2.0
Saskatchewan	24.2	1.7	7.7	1.1	1.2	..	..
Alberta	20.9	2.6	56.6	5.4	7.2	2.4	4.7
British Columbia	5.0	47.8	8.6	9.1	44.5	18.2	8.8
Canada	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: Statistics Canada, *Provincial gross domestic product by industry.*

There is a high degree of vertical integration between non-ferrous metal mining and smelting/refining operations - the latter being classified as primary metals industries. Forest products, which together with forestry forms the country's largest industry group with some 300 thousand employees contributing about one-eighth of traded goods output, comprise two structurally distinct industries – wood and pulp/paper, the latter also being dominated by large vertically-integrated companies.

Close to one-half of forestry activity is located in British Columbia, which also accounts for an almost similar share of lumber output. The fast-growing softwood rainforests of the coastal areas are quite distinct from the slower-growing hardwood forests of the interior, which latter are more akin to conditions in Eastern Canada. Two-thirds of pulp/paper production is concentrated almost equally between Ontario and Quebec. Petroleum is the dominant sector in Alberta where most of the country's conventional oil and gas reserves are located. Metal mining is largest in Ontario which also accounts for over one-half of basic metals production, followed by Quebec (one-quarter). Exploitation of the country's natural resources falls largely within provincial jurisdiction[28]. The economic rent generated by Canada's resource industries is dominated by the hydrocarbons industry, and a major objective of the National Energy Program has been to ensure a more even geographic distribution of its benefits[29]. No similar arrangements apply to the country's other natural resources.

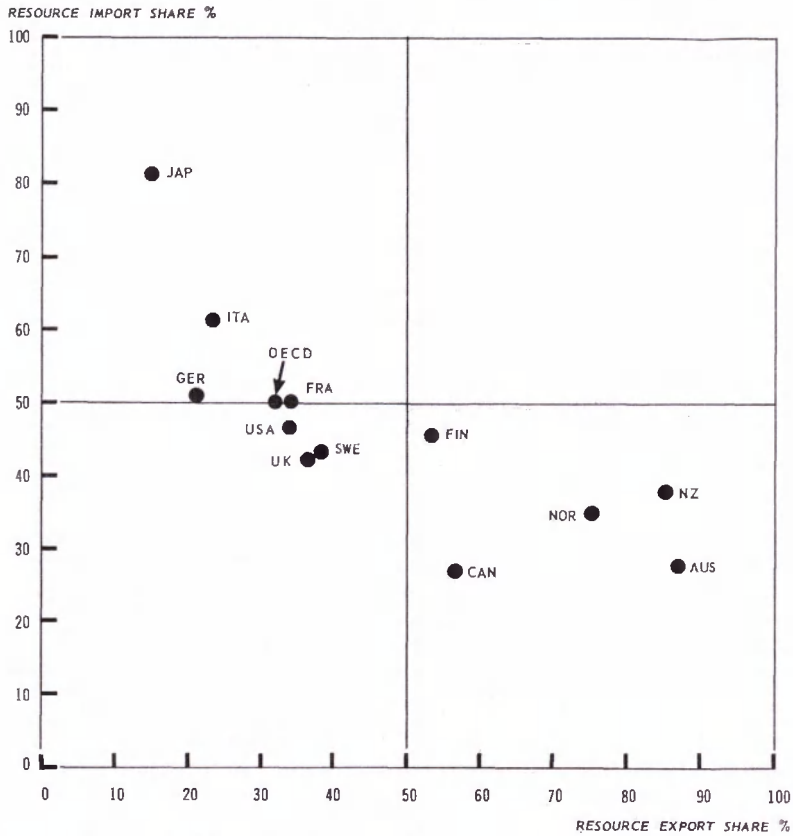
Table 8. **Structure of Canadian foreign trade**[1]

Product category	Exports	Imports	Trade balance	Specialization index[2]
	US $ million			
Wheat	3 111	0	3 111	100.0
Other food	4 275	3 988	287	3.5
Lumber	2 716	337	2 379	77.9
Wood manufactures	525	251	274	35.3
Pulp	3 214	128	3 086	92.3
Newsprint	3 614	5	3 609	99.7
Other paper products	814	607	207	14.6
Iron ore and concentrates	1 287	314	973	60.8
Non-ferrous ores and concentrates	2 132	1 261	871	25.7
Iron and steel	2 002	1 985	17	0.4
Non-ferrous metals	3 163	755	2 408	61.5
Petroleum	3 606	7 103	−3 497	−32.7
Gas	4 436	133	4 303	94.2
Other energy[3]	1 871	742	1 129	43.2
Other raw materials[4]	2 867	1 457	1 410	32.6
Total resource-based goods	39 633	19 066	20 567	35.0
Other	29 163	44 853	−15 690	−21.2
Total merchandise trade	68 796	63 919	4 877	3.7

1. In 1981.
2. Trade balance in per cent of value of trade (exports plus imports).
3. Including coal.
4. SITC Division 28 less lumber, pulp and ores/concentrates.

Source: OECD, *Statistics of Foreign Trade.*

Diagram 6. **Resource trade specialization in selected OECD countries**[1]



1. Import and export shares of food, energy and raw materials as well as the major resource-based manufactured products. The data refer to 1982.

Source: OECD, *Statistics of Foreign Trade.*

Canada's comparative advantage based on the extraction and primary processing of indigenous resources is evident from the structure of the country's merchandise trade flows. In 1981 the resource-based industries accounted for close to 60 per cent of goods exports but only 30 per cent of imports, compared with 30 and 50 per cent respectively for the total OECD, yielding a US$20.6 billion surplus, of which metals and forest products accounted for two-thirds. In turn, these products – lumber, newsprint, market pulp and certain non-ferrous metals – are highly dependent on foreign markets. Although policies setting minimum required domestic processing levels exist, shipments are concentrated to a few relatively unprocessed product groups, in which Canada is a major force in world markets. Canada is by far the world's largest exporter of lumber, pulp and newsprint. Relatively highly-processed plywood and wood manufactures account for only 15 per cent of wood industry exports compared with 40 per cent for Finland, while only 12 per cent of paper and pulp industry foreign shipments are in the form of higher-grade printing papers and other paper products, compared with 60 to 65 per cent for Scandinavia. Canada is also the leading producer of many

Table 9. **Canada's OECD market shares for selected commodities**[1]

Per cent

Commodity	SITC	1963-67	1968-72	1973-77	1978-82
Lumber	248	23.9	28.8	26.3	27.7
Pulp	25	28.4	33.1	35.6	34.8
Newsprint	641.1	70.0	70.6	65.0	62.5
Other paper	64-641.1	4.4	4.9	4.3	4.9
Base metal ores and concentrates[2]	287	19.9	23.0	20.2	9.3
Non-ferrous metals	68	14.5	13.3	9.9	8.2
Copper	682	7.5	8.8	8.4	5.9
Nickel	683	47.2	38.1	26.6	19.5
Aluminium	684	28.5	20.4	10.5	9.6
Zinc	686	22.9	21.5	20.8	25.3

1. Value of Canada's exports related to the value of total OECD imports.
2. Excluding iron and uranium.
Source: OECD, *Statistics of Foreign Trade.*

non-ferrous metals. Using cheap hydro-electricity, Canada is also a significant aluminium exporter based on imported bauxite. The country is self-sufficient in iron ore, and iron and steel trade has been in approximate balance as capacity is geared to average (rather than peak) domestic consumption. Canada's share of OECD lumber and pulp markets has increased compared with the mid-1960s, but has fallen for newsprint. A substantial decline has also accumulated over the years in the country's share of metal markets – particularly for nickel and aluminium –despite a small gain for zinc. Iron ore shipments, which are largely directed to the United States under long-term contract, have fared adversely in recent years.

Some salient aspects of resource industry developments

The slowing down in the growth of resource industry output between the 1960s and 1970s, which was more pronounced than for other traded goods or overall GDP, was demand- rather than supply-determined. Despite reduced investment, average capacity utilisation rates fell sharply[30]. Metal mining, one of the fastest-growing sectors in Canada up to the early 1970s, has been on a declining trend since 1973, and output during the 1979-80 international boom fell short of the previous peak by some 20 per cent, despite rising profits. The 1982 recession brought significant losses and a cut in production (from peak to trough) by over one-half. Present copper prices, for example, permit only very high grade mines, or those with by-products, to remain in operation. Output growth deceleration was associated with a slowdown in labour productivity growth – particularly noticeable in the energy sector, which had been a productivity growth leader up to the early 1970s, as well as in forestry and metal mining. Indeed, an official Canadian study estimated that the over 9 per cent average annual fall in energy sector output per man since the first oil crisis accounted for about one-quarter of the decline in aggregate labour productivity growth between 1962-73 and 1974-78, while a Bank of Canada study has attributed close to one-half the productivity slowdown in the commercial non-farm economy to the natural resource sectors[31]. Metal mining productivity was already stagnating in the late 1960s and has since been on a declining trend.

Table 10. **Productivity growth in selected industries**[1]

Percentage change

Industry	1954 to 1974	1974 to 1979	1974 to 1981
Mining	6.1	−3.3	−4.9
Metals	3.6	−2.7	..
Oil and gas	7.3	−9.6	..
Manufacturing	4.0	2.6	1.1
Wood	2.4	3.5	1.7
Pulp and paper	2.5	2.6	0.7
Primary metals[2]	3.9	2.5	0.6
Non-metallic mineral products	3.6	3.1	..
Petroleum and coal products	5.7	−9.7	..

1. Estimated in terms of volume output per man.
2. Except for 1974 to 1981 primary metals and metal fabrication.

Sources: Gerard Stuber: *A note on productivity developments at the industrial level*, Bank of Canada Review, January 1982 (periods 1954 to 1974 and 1974 to 1979); Statistics Canada, *Manufacturing Industries of Canada: National and Provincial Areas* and *Gross Domestic Product by Industry*.

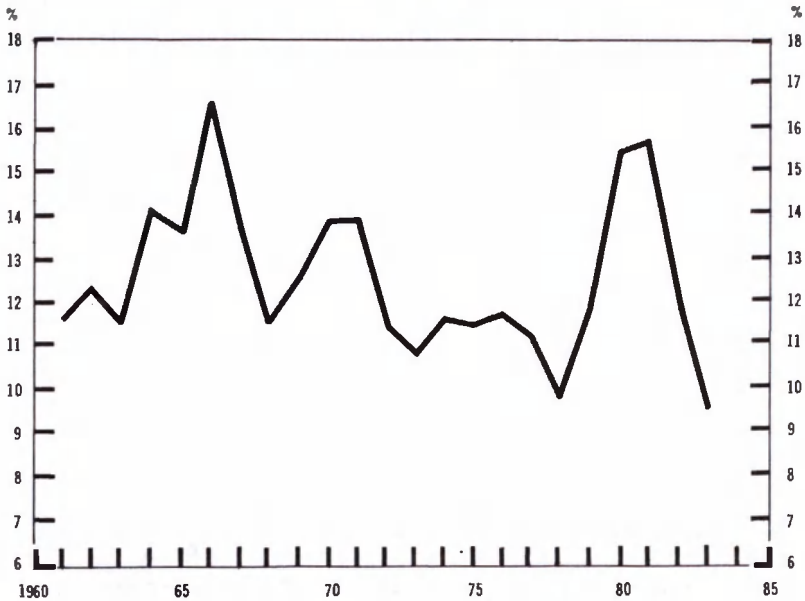
Commissioning of new mines has dropped below that needed to ensure current output levels into the future[32]. Within manufacturing the forest products and basic metals industries have recorded below-average productivity performance, but the slowdown over recent years has been less marked than for total manufacturing, despite the highly energy-intensive nature of both industries[33].

In a mechanical sense the productivity slowdown can be associated with the weakening in demand growth, but this leaves open the question of why factor inputs failed to adjust to the changed conditions. In fact, the adverse impact of volume developments on corporate income was more than compensated by the upsurge in prices and, as shown in Diagram 8, profit rates strengthened. Hence, although the ratio of labour to capital costs probably increased, the favourable development of profits may have been such as to dull the competitive incentive to improve labour productivity through reduced labour input and/or accelerating the growth of capital intensity. Indeed, growth of the capital/labour ratio probably slowed. Diagram 7 shows that during most of the 1970s the rate of increase in the resource industries' capital stock decelerated and recovered only toward the end of the decade. Investment data point to a failure of forest products firms to plough back sufficient profits during a large part of the 1970s, while investment behaviour of the primary metals sector proved rather volatile. Reflecting an increase in the average age of paper and primary metals machinery and equipment capital stock, the age structure and average size of the last-mentioned appears to be relatively unfavourable compared with that of major competitors[34]. Canadian labour productivity in pulp manufacture appears to be markedly below the Swedish level[35].

The volatility and relatively rapid rate of increase in resource prices during the 1970s, evident from Diagram 9, steered movements in Canada's terms of trade which improved by 15 per cent between 1971 and 1974 and, after a subsequent deterioration, recovered to 9 per cent above the 1971 level by 1980. In other industrialised countries the terms of trade deteriorated by some 20 per cent during the 1970s. As the surplus on energy trade is relatively small compared with net exports of other resource goods, the latter explain most of the terms of trade movements since 1971. Hence Canada did not experience a real income transfer to the rest of the world, but there was a significant redistribution from non-resource to resource

Diagram 7. **Growth of resource industry capital stock[1]**

Per cent



1. Gross fixed investment in year t expressed as a per cent of gross fixed capital stock at end of year t-1 estimated in 1971 prices and aggregated over the following industries : mining (excl. oil and gas), wood products, paper/pulp and primary metals.

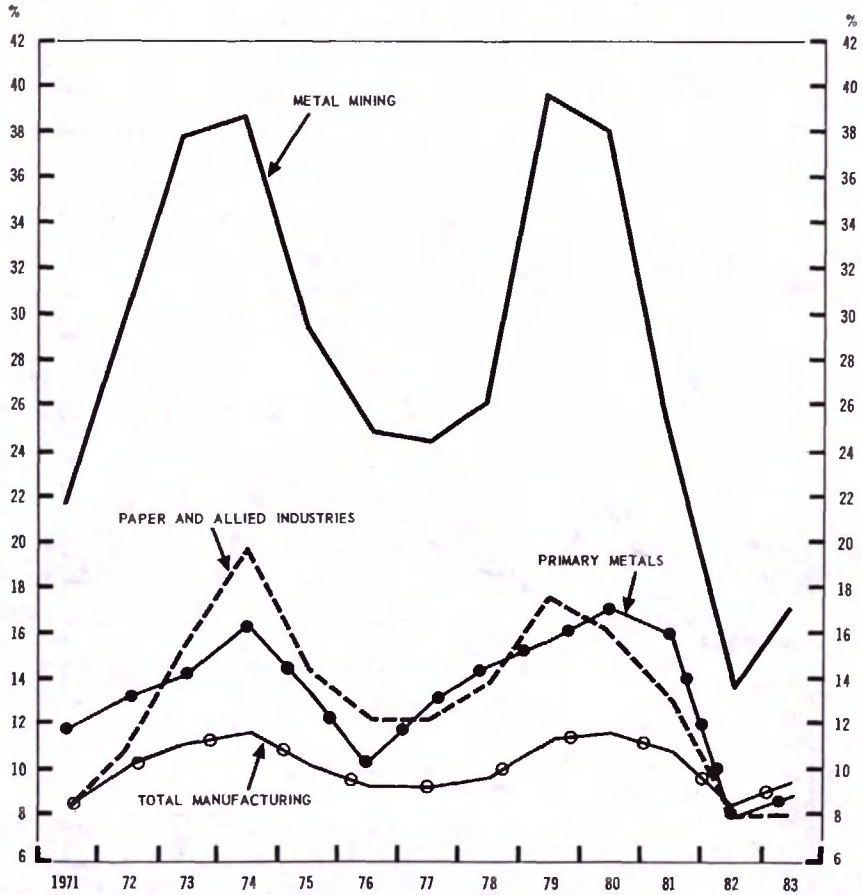
Source: Bank of Canada submission to OECD.

producers. Distribution of the economic "rent" created by an abrupt, substantial rise in resource prices may, as illustrated by experience in certain energy-rich OECD countries, engender adjustment problems[36]. The beneficiary sectors may push up production factor prices and/or the currency may appreciate, jeopardizing in turn the competitiveness and profitability of other traded-goods sectors. There is some evidence that this may have happened on occasion in Canada, even though in the case of energy, where rent creation was most significant, adaptation of domestic to world prices was made gradual.

Nominal wages accelerated sharply during and immediately after the 1972/73 commodity price boom, with resource sector earnings in the vanguard, and real wage increases for the total economy outpaced productivity gains. Manufacturing unit labour costs rose almost 20 per cent more than in the United States between 1971 and 1976 and the currency appreciated slightly. The subsequent substantial depreciation in 1977 and 1978 restored the country's non-resource manufacturing industries' competitiveness, but also boosted (the export-oriented) resource industry profits. The second commodity price boom brought a new round of wage increases in 1981 and 1982, significantly exceeding those in the United States. At the same time. the Canadian dollar appreciated modestly in effective terms despite some weakening against the US dollar. Many European countries also faced wage pressures, when the decline in real wages which would have been motivated by the terms of trade deterioration was prevented by rigidities such as wage indexation.

The price/wage linkage may have been reinforced by certain institutional characteristics of the forest industry. Except in the Atlantic region, over 90 per cent of Canada's forest land is owned by the provinces who lease it out for exploitation to companies against payment of a stumpage charge. This fee is related to a company's operating costs, such that an increase in the latter reduces the stumpage rate. This arrangement has tended to dilute forest companies' incentive to resist wage claims and, compared with Scandinavia and the Southern United States (not to mention Brazil), Canadian labour costs are relatively high. Furthermore, the burden of interest charges may have increased the pressure on companies to avoid disruption to their operations and hence to their ability to meet debt obligations, while the relative capital intensity of the industry also increases the cost of work stoppages. However, the disappearance of this sector's rent with the advent of operating losses has created a new situation, as evidenced by the difficulties in reaching a new collective agreement in British Columbia this

Diagram 8. **Operating profit margins**[1]



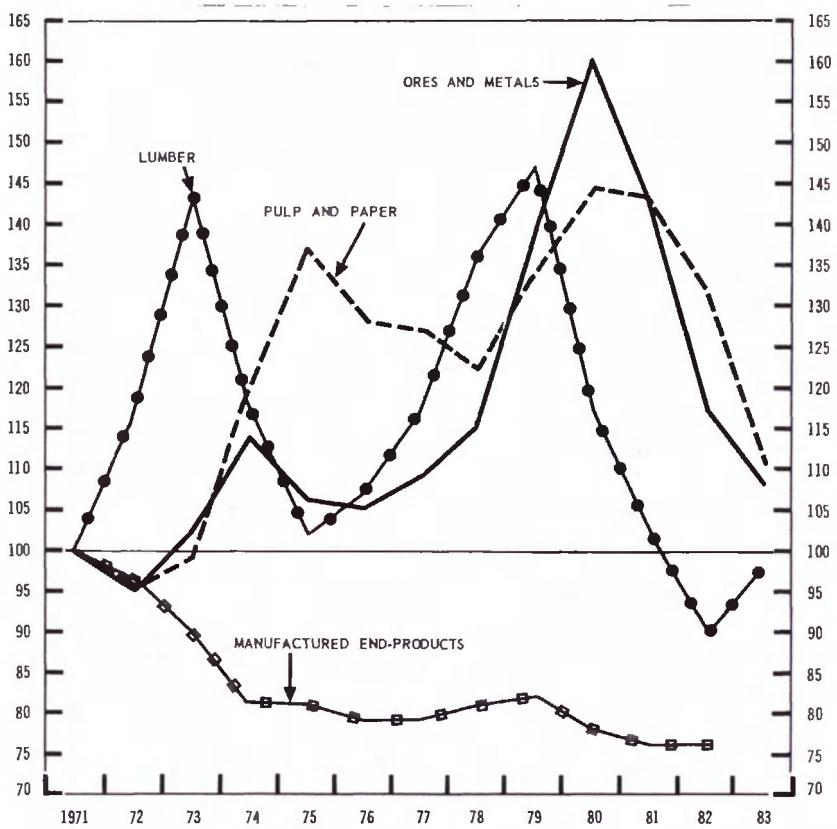
1. Sales less current operating costs as percentage of sales.
Sources: Statistics Canada, *Industrial Corporations Financial Statistics;* Secretariat estimates.

year. The relative advantage in raw material and energy costs enjoyed by the Canadian industry is now threatened. Canadian energy prices have almost attained world parity and in certain areas transportation costs associated with less accessible timber supplies are pushing up raw material costs. Systematic reforestation appears to have been somewhat neglected in the past[37]. The provinces have typically retained responsibility for forest management, but Ontario for example has recently changed its policy by turning this over to the companies.

Resource industry operating profit margins, as mentioned above, evolved favourably over the 1970s, mainly on account of relative price movements. The 1981/82 recession then brought losses as both output and prices collapsed. The growing incidence of the fixed element in total costs has complicated adaptation to weaker markets, while the Swedish and Finnish devaluations of late 1982 in addition to the strengthening of the Canadian dollar's effective exchange rate highlight the significance of relative exchange rate movements. For example,

Diagram 9. **Relative export prices**[1]

1971 = 100



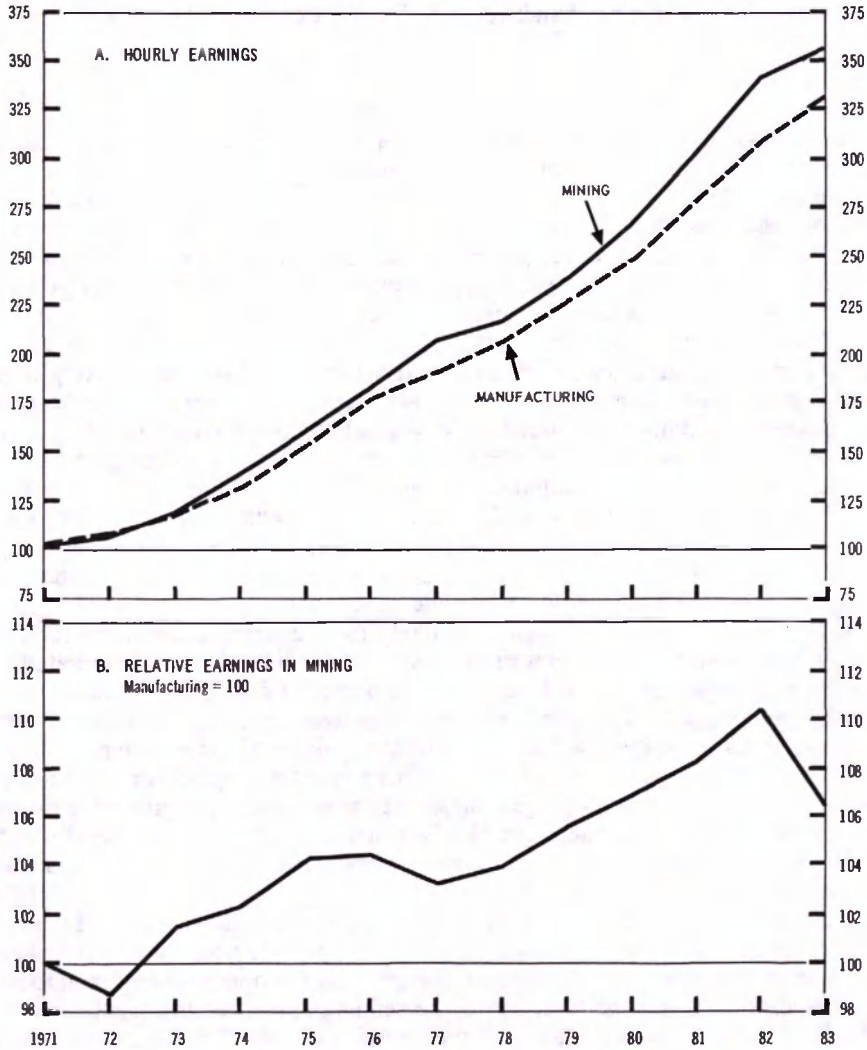
1. Prices expressed relative to GNE deflator.
Source: Department of Finance.

while North American pulp producers continued to register losses last year, Swedish mills' operating profit margins amounted to some 14 per cent. Canadian newsprint factories averaged returns of 1.2 per cent (B.C. Coastal) and 3.2 per cent (Quebec), compared with 18.2 per cent for Swedish producers[38]. Some mining companies have diversified (for example, into precious metals) and/or expanded their foreign operations.

As noted above, Canada's share of the world newsprint market has been declining for the last ten years, largely because of low-cost supplies from certain southern hemisphere

Diagram 10. **Hourly earnings in mining and manufacturing**

1971 = 100



Source : Statistics Canada, *Employment earnings and hours.*

producers (e.g. Brazil, Chile, New Zealand and South Africa), at the same time as the United States is becoming increasingly self-sufficient in certain of Canada's major forest product exports. In addition, the Canadian industry is currently facing difficulties because of tariff-free Scandinavian access to the EEC market since the beginning of 1984[39]. Bilateral exchange rate movements in the early 1980s may have further disadvantaged Canadian exports in world markets. The erosion of Canada's metal mining industry in the 1970s can be at least partly explained by the emergence of previously marginal suppliers in developing countries whose operations may not be guided exclusively by profitability criteria. Nationalised mines may be maintained in operation with the help of subsidies with a view primarily to procuring foreign exchange or for other broader social reasons[40]. Such sources have expanded their shares to between 20 and 40 per cent of world exports for many metals. Canadian producers have lost ground, particularly in non-refined ores as well as in copper, nickel and aluminium metal. On the other hand, refined zinc, for example, has fared relatively well.

Medium-term perspectives

Looking beyond the present cycle, assessment of the medium-term prospects for Canadian resources is necessarily subject to wide margins of error. Advances in materials and engineering technology, entailing novel products and processes, in addition to the shape of overall macro-economic developments will help determine the demand profile for individual commodities. Certain paths of development are, however, discernible on the basis of present knowledge and there appears to be a broad convergence of views that world demand for minerals and forest products over the next two decades may grow considerably more slowly than over the past two decades. Consumption of forest products has been projected by various bodies, including the United Nations Food and Agricultural Organisation (FAO), to grow by 2 to 3 per cent per annum in real terms, but with significant differences between product groups – slowest for lumber and standard newsprint grades, but substantially higher for groundwood speciality papers[41]. While the upper end of this projected range corresponds to the average growth of Canadian output during the 1970s, the product mix could be distinctly unfavourable from Canada's viewpoint. Mineral industry producers expect world demand in the 1980s and 1990s to grow at less than half the rate attained in the post-war period up to the mid-1970s[42], with consumption in the developed market economies lagging that in many developing countries, particularly in the Pacific area.

Canada's resource-based industries are likely to face fierce competition for shares of what are "mature" markets, characterised by standandardised (non-differentiated) output produced by well-known processes. Upgrading the degree of domestic processing has been a long-standing public policy objective. The degree of processing in Canada is one criterion used by the Foreign Investment Review Agency in assessing mineral development proposals. While in respect of pulp and newsprint the scope for further processing appears limited, the projected structure of world demand would suggest considerably more room for enhancing value added within the paper industry. Furthermore, the fact that Canada's share of world non-ferrous mining output significantly exceeds its share of refined metal production would suggest a priori leeway for developing domestic smelting and mining capacity. However, in the case of zinc, for example, there is at present a clear surplus of world smelting capacity. Trade barriers and other measures of policy intervention clearly influence the geographic pattern of world production apart from pure comparative advantage. Rates of nominal tariff tend to rise with degree of processing which, at least up to the refining stage, magnifies effective rates of protection[43]. However, the service and equipment industries ancillary to the resource sectors could be potential avenues for future development.

Canada's mineral reserves are considered adequate to support mining activity well into the next century, but substantial investment will be required, particularly as a growing proportion of new orebodies are located in remote areas necessitating costly infrastructures. Deteriorating ore grades at established sites are pushing up production costs, although this is neither a new, nor uniquely Canadian phenomenon. Ore grades were declining long before the 1970s, but technical progress offset the effects on productivity. The 1970s were exceptional in seeing no major innovations in mining technology[44], and there is no reason to expect this situation to persist. Indeed, according to certain views, mining could experience a technological revolution as new methods, including biological processes, are developed and applied to mineral extraction. Similarly, improved sylvicultural management and the need to modernize the forest products industry's capital stock will require large injections of capital. Against this background a recent Department of Regional and Industrial Expansion survey of corporate medium-term investment plans does not bode well. Planned volume capital spending by large forest industry companies are projected to remain substantially below their 1982 level throughout the five-year period to 1987. Metal mining and primary metals industries report an even more pessimistic outlook[45].

In late 1981 the Department of Energy, Mines and Resources published a discussion paper on mineral policy covering a wide range of issues from resource supply and taxation to environment and mineral science. Although the prospects now seem less optimistic, the objectives – stimulating modernisation and rationalisation as well as technical progress and prospecting activity – still appear valid. The Department of Environment also released a similar discussion paper on forest sector strategy for Canada, which has already led to certain policy initiatives, of which forest renewal is perhaps the most important[46].

Although the resources sector has tended to lose market shares over recent years and is currently facing a difficult period of adaptation, private enterprises appear well placed to ensure the sector's future viability. The industry appears conscious of the need for improved productivity performance and, as mentioned in Part I, there is recent evidence of greater wage flexibility. Nevertheless, there are certain areas where government action could prove helpful, not least to ensure that the sector is not disadvantaged, including maintenance of an economic "climate" favourable to investment as well as research and development.

III. CONCLUSIONS

The strength of the recovery from Canada's deepest post-war recession, which came to an end in the final quarter of 1982, has so far exceeded original expectations. Indeed, output growth in the course of 1983 outpaced that in the United States, but as the recession had been much deeper, production regained its previous peak only in early 1984. The favourable product structure of external demand has enabled Canadian manufacturers to maintain export market shares, despite an eroded competitive position vis a vis non-United States producers. Notwithstanding an upsurge in imports, which probably reflected in part domestic manufacturers' reduced competitiveness, the current account has remained in small surplus. The weakness in labour markets and a fall in foreign trade prices contributed to a marked deceleration in both wage and price inflation, pushing the growth rate of consumer prices down to its lowest level in over a decade and to below the OECD rate for the first time since the beginning of 1981. The 6/5 federal restraint programme as well as associated provincial measures have no doubt played a role in creating an environment conducive to the dampening

of inflationary expectations. The moderation in wage costs coupled with improved productivity performance has resulted in a clear shift in income distribution in favour of profits, although the latter's share of national income is still below trend. The opportunity offered by the reconstitution of profits and recovery in share prices was utilised by corporations to reduce debt and strengthen their equity bases. The outlook for the Canadian economy up to end-1985 is generally favourable, with growth remaining relatively strong, inflation moderate and the current account in surplus. The most unsatisfactory feature of the forecast relates to the limited progress expected in reducing the unemployment rate, which may remain around the 11 per cent mark.

The monetary authorities' room for manoeuvre has remained quite restricted. The marked deceleration in inflation has opened up the prospects for an easing in domestic interest rates, but this has been frustrated by renewed upward movement of United States yields which has led to severe downward pressure on the Canadian exchange rate. Faced with this difficult situation, the monetary authorities for the time being appear to have accepted the consequences of some decline in the Canadian dollar exchange rate. However, the inflationary risks of further downward adjustment in the currency will obviously have to be carefully weighed, given the proven sensitivity of markets to any perceived weakening in the authorities' anti-inflation commitment. Past experience has amply demonstrated the rapidity with which the inflationary spiral can develop as well as the painfulness and cost of the disinflationary process.

The medium-term fiscal strategy adopted in April 1983 and confirmed in the February 1984 budget appears to have introduced an element of stability into the fiscal environment after a period of some uncertainty. It also complies with the recommendation made by OECD Ministers both last year and this year that policies be set in a medium-term framework as a means of making clear the consistency and credibility of policy. The objective of the strategy's initial phase – lending a hand to the incipient recovery – has been attained, even though implementation of certain planned expenditure projects has been slower than expected. With weak private sector demand for credit, financing of the rather large budget deficit has not so far created problems. Nevertheless, and despite the fact that the risks attaching to the economy's prospects would otherwise motivate a pragmatic approach to the timing of the tightening in policy due later this year, priority should be given to reducing the federal deficit which currently exceeds 6 per cent of GNP. A reduction is envisaged over the next five years, but fears have been expressed that the process may not be sufficiently rapid to avoid "crowding out" problems should private investment recover strongly.

With unemployment remaining high, every effort should be made to find viable solutions to reducing its incidence which, as in other Member countries, has been particularly severe among younger people. To this end, the trend toward increased real and relative wage flexibility should be encouraged. The authorities' role in this should include training and retraining to better adapt skills to the market's requirements as well as reducing barriers to mobility. Greater wage flexibility would improve the possibility of achieving stronger non-inflationary growth and increase the utilisation of labour. As there is some evidence that provincial minimum wage legislation has had an adverse effect on youth employment[47], market forces should be allowed to play a greater role; in particular, somewhat greater wage differentials between skilled and unskilled labour could alleviate the problem.

Productivity growth has revived after some years of sub-standard performance and it is a matter of satisfaction that agreement was reached earlier this year between business and labour on the establishment of a Centre concerned with productivity and labour market problems. Furthermore, the last two federal budgets have introduced proposals which should help productivity growth. Rationalisation measures undertaken under the pressure of the

recession have produced "leaner and meaner" corporations and set relationships between the two sides of industry on a footing more atuned to marketplace realities. The phenomenon is not, however, confined to Canada, which implies that competitive pressures are likely to remain intense. Accordingly, measures which would jeopardise or delay the necessary process of industrial adjustment to the benefit of specific interest groups could threaten the long-run viability of broad sections of industry. Within this context, calls for increased protection from import competition should be resolutely opposed. At the same time, the desirability of easing the burden borne by those directly affected by the adjustment process must be recognised.

The present survey has examined briefly one important section of the Canadian economy which was particularly affected by the world recession – the resource-based industries. Last year saw some improvement in their situation, but these industries, whose market shares have in some instances been eroding for a number of years, clearly face medium-term adjustment problems which were exacerbated by the cyclical downturn. In some instances insufficient attention would seem to have been paid by industry to maintaining competitiveness during the 1970s through modernising the capital stock. It would now appear that these industries are responding to the challenge, in part by adopting new technologies. Being based on the country's rich endowments of natural resources, their fundamental role in the economy – not least as earners of foreign exchange – reflects Canada's comparative advantages. Their successful adaptation to new technologies and to the challenge from new emerging sources of supply, particularly among the developing countries, must be considered as an integral element of the overall positive adjustment of Canadian industry. The likelihood that the resources sector will offer only limited scope for future expansion and for absorbing the growing labour force may have tended to focus industrial initiatives on other manufacturing areas. The burden of any initiatives must be borne by the rest of the economy, including the resource industries. At the same time, the sector could benefit from the pursuit of policies to promote labour and capital mobility. In this area, provincial initiatives will also be required as certain barriers impede the free flow of goods and production factors between provinces.

NOTES AND REFERENCES

1. Between 1982:Q4 and 1983:Q4 volume GNP rose by 6.6 and 6.2 per cent respectively in Canada and the United States after having fallen by 6.5 and 3.0 per cent respectively.
2. Provincial sales tax on furniture and household appliances was suspended during a three-month period ending early August in Ontario which accounts for 37 per cent of total Canadian retail sales. The April 1983 federal budget allowed Registered Home Ownership Savings Plan (RHOSP) funds to be used for home appliance and furnishing purchases up to end-February 1984.
3. A renewed restraint arrangement with Japan limiting car imports to 153 thousand during fiscal 1983/84 (down 18 thousand from the preceding year) reduced that country's market share from 25 per cent in 1982 to an estimated 21 per cent last year. A Government-commissioned bipartite committee of automobile industry employer and union representatives on the future of the automobile industry (which is the largest single manufacturing branch in Canada, accounting for 6 per cent of sector employment and 10 per cent of the value of shipments) has recommended increased protection through inter alia raising the Canadian content of foreign cars to 60 per cent by 1987 and abolishing duty-free entry for imports from developing countries. Last year Canada had an estimated overall trade surplus on motor vehicles and parts of US$1.6 billion – a US$3.0 billion surplus with the United States more than compensating for a deficit with third countries.
4. See OECD, *Survey of Canada,* July 1978 and June 1982.
5. During the twelve months to December 1983, the numbers on short-time work fell from a peak of 182 thousand (1.5 per cent of the labour force) to 111 thousand. The increasing incidence of part-time work is also evident in all but one of the other six major OECD countries – see OECD, *Employment Outlook,* September 1983.
6. Part-time employment consists of persons who usually work less than 30 hours per week and do not consider themselves employed full time. The Commission of Enquiry into Part-time Work, whose report (*Part-time Work in Canada*) was published last September, noted that part-time personnel are generally worse paid than full-time workers, do not receive certain fringe benefits (e.g. eligibility for unemployment insurance requires at least 15 hours employment per week) and have less job security. At the same time less than 33 per cent of part-time jobs lasted a full year in 1981. Apart from students, most part-timers are women in the distribution trades. A study released with Statistics Canada's July 1983 Labor Force survey discusses the concept of unemployment measurement, taking account inter alia of the 640 thousand persons who were working part-time only because they couldn't find full-time employ. An estimated 108 thousand lay-offs are estimated to have been avoided by work-sharing agreements financed through the Unemployment Insurance fund and for which some $250 million was set aside in the 1983/84 budget.
7. See OECD, *Employment Outlook,* September 1983. The average Unemployment Insurance claim period increased from 21 to almost 27 weeks between 1982 and 1983. The average standardised overall unemployment rate among 15 OECD countries was 8.2 per cent in December.
8. Secretariat estimates suggest that the deceleration in earnings over the past two years was greater than might have been expected on the basis of past relationships; however, it is not yet possible to affirm that behavioural patterns have changed. See OECD, *Economic Survey of Canada,* June 1983 for a brief description of the federal "6/5" programme. While not adopting the federal programme, the provinces introduced their own individual restraint schemes. Of the 1 ½ million employees covered by new settlements last year, three-quarters belonged to the federal/provincial sector.
9. According to an August 1983 survey covering ¾ million private sector non-unionised salaried employees, 22 per cent of employers reported wage freezes in 1983 and 2.1 per cent salary reductions.
10. As measured by movements in Canadian manufacturing unit labour costs relative to the trade-weighted average for competitor countries.
11. Secretariat econometric estimates suggest that relative price movements could "explain" some 4 ½ percentage points of the increase.

12. Adjusting for inflation, which lessens the "real" burden of outstanding Government debt, would reduce the 1983 deficit by about ½ per cent of GNP. See R.W. Price and P. Muller, "Structural Budget Deficits and Fiscal Policy Responses to the Recession", *OECD Economics and Statistics Department Working Papers*, No. 15, 1984.

13. On a public accounts basis, energy-related revenues are projected to decline by 8.5 per cent in fiscal 1983/84. But for the extension of the Canadian Ownership Special Charge beyond September 1983 and its treatment as budgetary revenue from the beginning of fiscal year 1983/84, the decline would have been of the order of 30 per cent, with receipts weakening for all but the Petroleum and Gas Revenue Tax (PGRT).

14. For an explanation of the methodology for calculating budget impact see OECD, *Economic Outlook*, No. 34, December 1983, p. 148.

15. See OECD, *Economic Outlook*, No. 34, December 1983, Table 13.

16. According to Department of Finance estimates (see budget document "The Fiscal Plan"), new revenue measures will reduce income (public accounts basis) by $0.2 billion (about 0.3 per cent) in 1984/85. Application of the Incremental Oil Revenue Tax (IORT) to conventional oil has been suspended for a further year to end-May 1985. The SRT, in the form of a 1 percentage point increase in Federal sales tax rates between 1st October 1984 and end-1988, would raise the GNP deflator by about ¼ per cent if fully passed on.

17. For example, the average GNP growth rate figure for Canadian private-sector forecasts amounts to 3 per cent.

18. As shown in Table 4, preliminary estimates put the actual 1983 deficit at 5.9 per cent of GNP.

19. A 1 per cent decline in the exchange rate is estimated to add about ¼ percentage point to the growth rate of consumer prices within a year.

20. In April this year the Government announced that the current 8 per cent limit on foreign banks' share of the overall Canadian banking system's domestic assets would be raised to 16 per cent.

21. See, for example, OECD, *Survey of Canada*, June 1979, concerning regional and industrial policies.

22. The index components and percentage weights (to be recalculated annually) are: unemployment (50), per-capita disposable income (40) and provincial fiscal capacity (10). Tier IV covers the 5 per cent of the population in districts worst off according to the development index, Tier III the following 15 per cent, Tier II the next 30 per cent and Tier I the top one-half. The Northwest Territories and the Yukon are allocated to Tier III.

23. The domestic "old oil" price of $29.75 already represented 80 per cent of world parity and a further $4 increase was due on the 1st July, whereas the September 1981 accord had set a ceiling of 75 per cent of the world price. For a list of the various oil categories and energy taxes see OECD, *Survey of Canada*, January 1981. The "old oil" price was frozen at $187.21 per cubic metre. The NORP was extended to oil discovered between March 1974 and December 1980 ("special new oil") and infill wells. The rate of the Natural Gas and Gas Liquids Tax, which was introduced to ensure the 65 per cent price parity with oil, is estimated to have dropped to zero from the beginning of February this year.

24. Projections are based on an assumed United States GNP volume growth rate of 5.7 and 3.0 per cent in 1984 and 1985 respectively.

25. See the Conference Board of Canada, *Consumer Markets Update*, recent issues, concerning consumer attitudes and actual spending behaviour.

26. Among OECD countries the share is comparable or higher only in Australia, New Zealand, Norway and Iceland. The larger European Member countries' share is 10 per cent and the United States' somewhat higher. Products involving a relatively low degree of processing ("Basic manufacturing" in Table 6) are here taken to mean items covered by Section 6 of the SITC (manufactured goods classified chiefly by material) as well as Divisions 24 and 25 (wood and pulp).

27. In 1982, shares of the main mineral's output value were (per cent):

Petroleum	36.3	Copper	3.5
Natural gas and byproducts	28.5	Zinc	3.0
Coal	3.9	Gold	2.9
Iron ore	3.6	Uranium	2.5

Nickel's share, which had been 4.6 per cent in 1980, dropped to only 1.8 per cent in 1982.

28. However, a recent Supreme Court decision confirmed federal ownership of hydrocarbon reserves off the Newfoundland coast, and Ottawa retains primary jurisdiction over uranium. In addition, the Northwest Territories, which contain large unexploited reserves of both minerals and fossil fuels, and the Yukon are administered by the federal authorities.

29. See OECD, *Survey of Canada,* January 1981.

30. The following table summarises (percentage) capacity utilization rates as measured by Statistics Canada:

Average	Wood	Paper and allied	Primary metals	Petroleum/coal products
1961-69	92.2	92.6	88.7	79.4
1970-79	77.4	85.8	79.7	87.2
1980	71.2	88.2	74.6	81.9
1981	66.2	83.2	72.2	76.1
1982	56.1	71.9	56.4	61.9
1983	69.9	76.6	61.7	56.4

31. See Sims, Harvey and Stanton, Jim: *Recent Changes in Patterns of Productivity Growth in Canada,* Department of Finance, April 1980; Stuber, Gerald: *The recent slowdown in the growth of productivity: Some explanations of the puzzle,* Bank of Canada Review, June 1981; and Stuber, Gerald: *A note on productivity developments at the industrial level,* Bank of Canada Review, January 1982.

32. In the post-war period up to the end of the 1960s, fifteen new mines were opened on average each year. Since 1979 the number has dropped to five, which is roughly half the rate needed to maintain present output levels up to the end of the century (see The Mining Association of Canada, *Challenges and Opportunities: Canada's Mining Industry in the Future,* December 1983, p. 6).

33. Energy averages 3 per cent of total manufacturing operating costs, but around 7 and 10 per cent for basic metals and paper/pulp respectively which together account for over 40 per cent of overall manufacturing energy consumption.

34. According to a detailed study of 21 large companies, 48 per cent of Canada's groundwood-based printing paper capacity (including newsprint) has been installed since 1945 and only 19 per cent since 1970, compared with 90 and almost 40 per cent for the United States. Average newsprint machine capacity in Canada is estimated at almost 30 per cent below the United States and Scandinavian averages (reports in *Globe and Mail,* April 18 and November 25, 1983). Statistics Canada (Construction Division) calculations show a gradual ageing of the machinery and equipment component of the combined paper and pulp industry capital stock (from an average of 8.2 years in 1961 to 10.4 years in 1980), but a rapid decline for the construction component (from 25.1 to 18.3 years between 1961 and 1980) – see Gordon J. Garston, *Canada's Capital Stock,* Economic Council of Canada, Discussion Paper No. 226, February 1983. It should be noted, however, that the age structure of paper-making machinery may be an imperfect guide to its efficiency given the large scope for upgrading such equipment.

35. Quoted from a stencilled speech ("From Here On In") delivered by A.H. Zimmerman, President of Noranda Mines Limited, to the Thunder Bay Chamber of Commerce, January 17, 1984.

36. See, for example, OECD *Economic Survey of the Netherlands,* March 1978; OECD *Economic Survey of Norway,* March 1981; *OECD Economic Survey of Australia,* January 1982.

37. See Environment Canada, *A Forest Sector Strategy for Canada,* September 1981 and Policy Statement: *A framework for forest renewal,* September 1982; Canadian Pulp and Paper Association, *Submission to the Royal Commission on the Economic Union and Development Prospects for Canada,* October 1983; Science Council of Canada, *Canada's Threatened Forests,* 1983. Responsibility for forest management (replanting, etc.) has typically been retained by the provinces in the past, although the onus is now being shifted more to the lessees.

38. See Zimmerman, *ibid.*

39. Under its GATT obligations, the EEC admits 1.5 million tonnes of newsprint duty-free per year from outside the area. With the abolition of quotas on Scandinavian exports, the EEC Commission has proposed a duty-free quota for Canada of 500 thousand tonnes. Canada had been shipping in excess of 700 thousand tonnes to the EEC. Proposals are currently being considered within the EEC to increase the quota by 135 thousand tonnes. As a result of a complaint by Canada, the issue is now being examined under the GATT disputes settlement process.

40. In 1980, the less-developed countries accounted for 28 per cent of world iron ore exports, 43 per cent of copper, 29 per cent of nickel and 19 per cent of lead. See, Mining Association of Canada, ibid.

41. External Affairs Canada, *A Review of Canadian Trade Policy,* August 1983, p. 73; Canadian Pulp and Paper Association (1983) *ibid.*, p. 34.

42. The Mining Association of Canada (1983), *ibid.* p. 13, Energy, Mines and Resources Canada, *Mineral Policy: A Discussion Paper,* December 1981, pp. 137-145

43. For example, nominal Japanese tariff rates of only 3.7 to 4.8 per cent on imports of refined copper, lead and zinc translate into effective rates varying from 15 to 32 per cent (based on 1980 price-cost relationships). See Dept. of Energy, Mines and Resources, Canada (1981), *ibid.*, p. 108.

44. Innovations in the 1970s were mainly spurred by the need to cut energy costs, whereas earlier innovations were motivated by efforts to reap economies of scale. See Kenneth R. Stollery, *Productivity trends and their causes in the Canadian metal mining industry, 1957-79,* Economic Council of Canada, Discussion Paper No. 248, December 1983.

45. Department of Regional Industrial Expansion, *Report of the DRIE Capital Investment Intentions Survey Conducted in October 1983,* Ottawa, December 1983.

46. See Energy, Mines and Resources Canada (1981), *ibid.* and Environment Canada, (1981), ibid.

47. See Pierre Fortin, "L'effet du salaire minimum sur les prix, l'emploi et la répartition des revenus: le cas du Québec", *Relations Industrielles,* Vol. 34, No. 4, 1979.

Annex

CHRONOLOGY OF MAIN ECONOMIC POLICY EVENTS

1983

1st January

In conformity with 6/5 programme, indexing factor of 6 per cent applied to personal income tax brackets.

6th January

Canadian offshore customs jurisdiction to be extended to 200 miles.

8th January

Three trust companies taken over by Ontario Government.

15th January

Government advised that 6 per cent indexation limitation on Old Age Pensions must receive Parliamentary approval.

National Energy Board approves large new exports of natural gas.

17th January

Upper limit on deposits insured by CDIC (Canada Deposit Insurance Corporation) to be increased from $20 000 to $60 000.

25th January

Talks between Newfoundland and federal governments on offshore oil collapse.

27th January

National Energy Board recommends doubling of gas export volumes, but limitation of sales to United States (recommendations approved by Cabinet 21st February).

1st February

Natural Gas and Gas Liquids tax (NGGLT) rate reduced from 63 to 45 cents per gigajoule.

15th February

Manitoba and Civil Servants union agree on 3-month delay in 10.3 per cent wage increase; workers not to be laid off nor wages rolled back during life of 2-year contract.

17th February

Main Estimates project federal fiscal 1983/84 budget expenditure to rise by 9.6 per cent.

Newfoundland Supreme Court rules that province has no jurisdiction over off-shore resources.

24th February

Manitoba's direct borrowing requirements in fiscal 1983/84 forecast to increase from 6.5 per cent to 7.2 per cent of provincial GDP, reflecting budgetary revenue and expenditure growth of nearly 16 per cent and higher non-budgetary disbursements. Taxes on liquor, tobacco, gas and sales tax increased.

10th March

Increases in Federal per-capita transfers to provinces for post-secondary education limited to 6 and 5 per cent for next two years, in accordance with federal restraint programme.

17th March

Newfoundland fiscal 1983/84 budget maintains sales tax increases and spending cuts imposed in fall 1982. Direct financial requirement reduced from 8.7 to 6.4 per cent of GDP.

21st March

Federal and British Columbia governments sign agreement providing for reciprocal payment of sales taxes.

24th March

Alberta budget provides for significant decrease in expenditure growth for fiscal 1983/84 (7.5 per cent vs. average 23 per cent over last five years). Rates for personal income tax, health care premiums and tobacco taxes raised and Alberta Heritage Fund sequestered. Deficit of $845 million estimated.

25th March

Federal dispute with Manitoba over payment of that province's payroll tax settled. Ottawa to make (non-retroactive) payments equal to the tax on federal payroll in Manitoba, while province agrees to enter into reciprocal sales tax agreement.

29th March

Saskatchewan budget emphasises job creation and introduces only minor tax changes, with $317 million deficit projected.

11th April

Price of natural gas exports to United States cut by 11 per cent.

15th April

Prince Edward Island budget increases tobacco tax and projects deficit of $18.1 million on expenditures of $436 million.

18th April

Nova Scotia budget introduces no major changes.

19th April

Federal budget provides for 6.8 and 12.5 per cent increases in budget revenue and expenditure in fiscal 1983/84 respectively (public accounts basis), with deficit projected to rise from $25.3 to $31.2 billion (8.1 per cent of GNP). Main features of medium-term projections to fiscal 1986/87 are:

a) A Special Recovery Program, costed at $4.8 billion over 4 years and consisting of two major parts:
   - *i)* Special Recovery Capital Projects – public sector fixed investment costed at $2.4 billion;
   - *ii)* incentives to boost private fixed investment (also costed at $2.4 billion) through enhancement of investment tax credits, introduction of share-purchase tax credit and establishment of Special Recovery Funds for investment and export financing.

b) Measures to stimulate residential investment, including enhancement of Registered Home Ownership Savings Plan (RHOSP).

c) Direct employment support, including expansion of NEED programme.

d) Promotion of technology and R&D expenditure.

e) Main taxation measures include:
   - *i)* imposition of Special Recovery Tax in form of 1 percentage point addition to rates of Federal sales tax from 1st October 1984 to end-December 1988, estimated to yield cumulative $2.2 billion by end fiscal 1986/87 and to approximately cover total net cost of Special Recovery Program by end-1988;
   - *ii)* extension of Canadian Ownership Special Charge (COSC – introduced under National Energy Program), estimated to yield $3.4 billion;
   - *iii)* amendments to personal income tax deductions and exemptions, estimated to yield $4.5 billion (excluding concessions listed under a) and b) above).

Announced measures estimated to cost net $1.9 and $0.7 billion in fiscal 1983/84 and 1984/85 respectively, but to yield net $1.8 billion to Treasury by 1985/86.

6th May

New Brunswick budget increases most taxes and introduces daily user fees in hospitals.

10th May

Quebec budget proposes few major changes to taxation, and projects $3.2 billion deficit.

Ontario budget extends aid to small businesses, but increases corporate income tax and medicare premiums.

Ontario consents to implementation of amendments to CPP (Canada Pension Plan) made in 1977, dealing with earnings loss when leaving labour force to raise children.

Government announces $100 million extension of work-sharing program due to expire at end-May.

1st June

Rate of Petroleum and Gas Revenue Tax restored to 12 per cent following temporary reduction to 11 per cent provided for in NEP Update of 31st May 1982.

22nd June

Minister of Finance rejects idea of an international banking centre in Canada.

23rd June

Inspector General of Banks reports that foreign banks have nearly reached 8 per cent of market limit imposed on them in 1980 Bank Act.

30th June

Federal and Alberta governments amend 1981 oil pricing agreement:

a) Old oil (pre-31st March 1974) price frozen at $187.21 per cubic metre as long as this price exceeds 75 per cent of world price.
b) New Oil Reference Price (NORP) extended to "special old oil" (oil discovered between March 1974 and December 1980) and to infill wells.
c) Toronto wholesale natural gas price not to exceed 65 per cent of blended oil price at Toronto.

6th July

Volume Related Incentive Pricing (VRIP) scheme for natural gas exports announced, providing for price of US$124.64 per million cubic feet for exports below certain volume and US$96.31 above that volume.

7th July

British Columbia budget increases sales and tobacco taxes as well as fees for health services.

12th July

GATT panel rules that FIRA (Foreign Investment Review Agency) conditions relating to purchasing in Canada as condition of permission to operate violates GATT.

20th July

Conference Board reports consumer confidence at highest level in 18 years.

Goodman Committee recommends that federal excise tax not be shifted to wholesale level and proposes to substitute a unified federal-provincial value added tax.

1st August

Rate of Natural Gas and Gas Liquids Tax reduced from 45 cents to 15 cents per gigajoule during period to end-January 1984, allowing natural gas producers to be paid extra 23.3 cents per gigajoule (equals 25 cents per thousand cubic feet). Tax rates on natural gas liquids also reduced.

10th August

Ontario Economic Council reports many "working poor" would be better off financially on welfare.

12th September

Streamlining of job-creation programme to reduce number of schemes from current twelve to four.

6th October

Interest rate for new Canada Savings Bonds issue in current year set at 9.25 per cent, and minimum to be 7 per cent.

11th October

Economic Council of Canada annual report calls for selective wage and price controls to fight inflation and proposes "job voucher" system to assist unemployed.

18th October

Alberta raises personal income tax 13 per cent to reduce expected $1 billion deficit.

25th October

Draft amendments to Income Tax Act propose research and development incentives.

28th October

House of Commons Finance Committee tables report urging removal of market share restriction on foreign banks.

7th November

Finance Minister refrains from proposing compulsory wage and price controls in consultation document.

8th November

Ontario Government announces 5 per cent limit on civil servants' wage increases in 1984.

9th November

Sales of Canada Savings Bonds discontinued after reaching $11.58 billion gross ($8.76 billion net).

13th November

Major British Columbia strike ends with negotiated settlement between Government and Solidarity movement opposing former's restraint program.

16th November

Quebec "mini-budget" introduces relatively minor amendments to previous budget.

Small business bond, scheduled to expire, to be extended to end-1985.

5th December

Ontario announces extra spending to fight unemployment and (unspecified) tax increases to cut deficit.

8th-9th December

Federal and provincial Finance Ministers meet in Montreal.

15th December

House of Commons Committee on Pension Reform report urges phasing out of RRSPs (Registered Retirement Savings Plans) and extension of CPP (Canada Pension Plan) to housewives.

20th December

Rules for charities revised, effectively terminating changes first proposed in November 1981 budget.

1984

1st January

In conformity with 6/5 programme, indexation adjustment of personal income tax brackets limited to 5 per cent.

15th February

Federal budget projects revenue and expenditure growth of 14.8 and 7.6 per cent (public accounts basis) respectively in fiscal 1984/85, with deficit falling from estimated $31.5 billion in 1983/84 to $29.6 billion (6.9 per cent of GNP). Budget confirms medium-term strategy announced in April 1983 budget and introduces no significant

new demand management measures. Net revenue cost of new discretionary tax measures (including further 1-year suspension of Incremental Oil Revenue Tax) estimated at only $215 million (0.05 per cent of GNP). Medium-term projections show deficit declining to 4.7 per cent of GNP by 1987/88. Proposals for reforms of small business taxation, old-age pensions, profit sharing, and residential mortgages were presented in form of discussion papers tabled with budget.

21st February

British Columbia budget projects revenue growth of 8.7 per cent and zero growth in outlays in fiscal 1984/85, leading to sharp fall in deficit (excluding $470 million B.C. Rail debt payment, outlays decline by 5.8 per cent). Pending receipt of requested additional federal health transfers, 8 per cent income surtax introduced. Public sector compensation subject to continued restraint and further civil service cuts envisaged.

29th February

Newfoundland places 2-year freeze on public sector compensation and announces reduction in public service positions.

20th March

Newfoundland budget projects revenue and expenditure growth of 8.2 and 1.2 per cent respectively in fiscal 1984/85, with cash requirement falling sharply. Restrictions placed on social programmes.

21st March

Saskatchewan budget projects revenue and expenditure growth of 7.3 and about 5 per cent (lowest for 18 years) respectively. Tax measures estimated to have minimal revenue impact. Social programmes being cut, but economic development and employment spending up about 33 per cent. Middle and senior public service managerial salaries frozen and 5 per cent ceiling placed on other settlements – corporations encouraged to follow suit.

23rd March

Nova Scotia budget projects revenue and expenditure growth of 10 and 9.6 per cent respectively, with cash requirement rising by 12.6 per cent. Offshore oil exploration yielding revenue for first time. Youth initiatives package, including interest-free loans, announced to develop entrepreneurial skills.

27th March

Alberta budget projects revenue and expenditure growth of 4.5 and 0.8 per cent respectively in fiscal 1984/85, leading to sharp decline in deficit. Alberta Heritage Fund estimated to account for 16 per cent of budget revenue. Grants to school boards, hospitals and municipalities frozen, and significant cut-backs in civil service and Crown corporations. Employment and manpower training programmes expanded.

15th May

Ontario budget projects revenue and expenditure growth of 9.6 and 7.4 per cent respectively in fiscal 1984/85, and a reduction in the budget deficit from $2.35 to 2.04 billion. 5 per cent personal tax surcharge expiring end-1984 not being extended and discretionary tax measures (including increased OHIP premiums) estimated to yield $118 million. Wage increases to be kept to maximum 5 per cent and emphasis placed on youth employment training. Privatisation of 25 Crown corporations being studied.

22nd May

Quebec budget projects revenue and expenditure growth of 4.9 and 8.2 per cent respectively. Net impact of discretionary tax changes estimated to add $10 million to revenue.

STATISTICAL ANNEX

Table A. **Gross national**
Annual figures and annual
C $

	Personal consumption expenditure	Government current expenditure on goods and services	Government fixed capital formation	Business fixed	
				Total	Residential construction
					Current
1976	111 657	38 325	6 318	38 609	12 353
1977	123 565	43 374	6 790	41 586	12 989
1978	136 532	47 772	7 140	45 342	13 744
1979	152 088	52 284	7 397	53 524	14 411
1980	170 236	59 595	8 277	60 919	14 284
1981	193 477	68 405	9 557	72 501	16 432
1982	209 801	77 193	10 630	67 055	12 999
1983	229 034	83 390	11 154	65 379	16 296
					1971
1976	75 180	21 598	3 909	23 822	6 583
1977	77 009	22 299	3 944	23 662	6 246
1978	79 038	22 671	3 851	23 734	6 140
1979	80 607	22 750	3 644	25 004	5 977
1980	81 431	22 932	3 676	26 925	5 631
1981	82 961	23 053	3 761	28 840	5 920
1982	81 206	23 175	3 886	24 912	4 552
1983	83 688	23 239	3 999	23 684	5 810

Source: Statistics Canada, *National income and expenditure accounts.*

product and expenditure
rates, seasonally adjusted
million

capital formation		Value of physical change in inventories	Exports of goods and services	Imports of goods and services	Residual error	Gross national product at market prices
Non-residential construction	Machinery and equipment					
prices						
12 105	14 151	2 094	45 790	50 429	–507	191 857
13 472	15 125	886	52 810	57 557	–1 265	210 189
14 590	17 008	390	63 307	68 274	2	232 211
18 127	20 986	3 880	77 532	83 038	612	264 279
22 483	24 152	–1 290	91 391	93 716	1 143	296 555
27 195	28 874	1 322	100 628	107 946	1 111	339 055
27 615	26 441	–9 747	101 438	99 863	93	356 600
24 211	24 872	–1 480	108 181	107 487	515	388 686
prices						
7 604	9 635	1 368	26 304	32 274	–295	119 612
7 972	9 444	360	28 233	32 798	–721	121 988
8 075	9 519	129	31 207	34 291	8	126 347
9 156	10 671	1 766	32 141	36 662	312	130 362
10 161	11 133	–663	32 753	35 915	536	131 675
10 994	11 926	632	33 685	37 286	468	136 114
10 207	10 153	–3 240	33 152	33 072	50	130 069
8 614	9 260	–146	35 289	35 940	182	133 995

Table B. **Industrial production,**
Seasonally

	1978	1979	1980	1981	1982
1. *Indices of industrial production (1980 = 100):*					
Total	0.95	0.99	1.00	1.03	0.98
Durables manufactures	0.99	1.06	1.00	1.02	0.86
Non-durable manufactures	0.95	1.00	1.00	1.02	0.93
2. *New residential construction (thousands, annual rates):*					
Starts	227.7	197.0	158.6	178.0	125.9
Completions	246.5	226.5	176.2	175.0	133.9
Under construction[1]	164.7	128.6	105.8	102.8	89.1
3. *Employment and unemployment:*					
Civilian labour force (thousands, monthly averages)	10 895	11 231	11 573	11 904	11 958
Non-agricultural employment (thousands, monthly averages)	9 513	9 911	10 229	10 521	10 182
Employment indices (1961 = 100):[2]					
Mining	119.0	128.1	142.8	147.8	131.9
Manufacturing	127.6	131.4	129.0	129.8	117.7
Durables	140.1	145.7	141.2	140.9	123.9
Non-durables	117.5	120.0	119.1	120.9	112.7
Transportation, communication and other utilities[3]	132.5	134.8	139.3	140.5	137.2
Unemployment (thousands)	908	836	865	898	1 304
Unemployment (percentage of civilian labour force)	8.3	7.4	7.5	7.5	11.0
Average weekly hours worked in manufacturing	38.8	38.8	38.5	38.5	37.7
4. *Retail sales ($ million, monthly averages)*	5 731	6 419	7 002	7 858	8 116
5. *Orders and inventories in manufacturing ($ million):*					
New Orders (monthly averages)[4]	11 035	12 965	14 091	15 931	15 117
Unfilled orders (end of period)	12 737	16 400	18 218	18 969	15 582
Total inventories (end of period)	20 801	26 064	29 597	34 213	30 885

1. Non seasonally adjusted, end of period.
2. Estimates of employment, earnings and hours from april 1983 are based on a revised survey; data from 1983 II onwards are not seasonally adjusted.
3. Includes storage, electric power, gas and water utilities.
4. 3-month averages for quarters.

Sources: OECD, *Main Economic Indicators;* Statistics Canada, *Canadian Statistical Review;* and *Bank of Canada Review.*

employment and other business indicators

adjusted

1983	1981 III	1981 IV	1982 I	1982 II	1982 III	1982 IV	1983 I	1983 II	1983 III	1983 IV
1.00	1.06	1.01	0.96	0.99	1.01	0.95	0.94	1.01	1.06	1.01
0.92	0.94	0.95	0.91	0.94	0.80	0.78	0.86	0.96	0.88	0.98
0.98	11.00	0.99	0.94	0.95	0.91	0.91	0.94	0.99	0.98	1.00
162.6	183.0	135.3	169.7	118.0	96.3	137.7	176.7	221.0	130.0	130.3
163.0	178.0	166.0	142.0	137.0	141.0	117.0	154.0	150.0	186.0	157.0
84.9	111.3	102.8	101.1	100.3	86.2	89.1	82.5	112.4	95.5	84.9
12 183	11 908	11 967	11 903	11 942	12 016	12 033	12 048	12 186	12 245	12 227
10 258	10 546	10 496	10 389	10 234	10 082	10 035	10 094	10 223	10 329	10 384
121.9	146.6	146.9	146.4	138.0	122.3	120.3	119.7	121.1	125.7	122.3
114.4	129.8	126.9	123.5	119.5	116.5	111.3	111.7	115.5	118.0	114.7
120.2	140.2	136.6	132.8	126.6	122.0	114.5	114.6	121.0	124.3	122.4
110.7	121.2	119.3	116.3	13.9	112.4	109.1	109.3	111.1	112.9	108.5
131.2	139.5	141.7	140.5	138.1	136.3	134.0	133.1	131.9	132.2	130.8
1 448	840	937	1 152	1 266	1 384	1 455	1 630	1 515	1 353	1 295
11.9	7.4	8.3	8.9	10.5	12.2	12.8	12.5	12.3	11.6	11.1
38.1	38.6	38.1	38.1	37.7	37.5	37.5	38.2	38.4	38.5	37.3
8 723	7 869	7 975	7 947	8 107	8 158	8 252	8 409	8 579	8 856	9 049
17 044	16 249	15 602	15 078	15 367	15 238	14 752	15 448	16 589	18 569	17 693
20 261	20 161	18 969	17 502	17 284	16 253	16 043	16 058	16 307	20 566	20 751
30 699	33 669	34 508	35 033	34 535	33 784	31 258	30 478	29 557	30 747	31 095

Table C. **Prices,**

	1978	1979	1980	1981	1982
1. *Prix (1980 = 100):*					
Consumer prices, all items	83.2	90.8	100	112.5	124.6
of which:					
Food	79.8	90.3	100	111.4	119.5
Non-food	84.2	90.9	100	112.8	126.1
Producer prices, manufactured goods	77.0	88.2	100	110.2	116.9
2. *Wages and profits:*					
Hourly earnings in manufacturing (1980 = 100)	84	91	100	112	125
Corporate profits before tax ($ million, annual rates)	25 668	33 941	34 456	33 008	21 102
3. *Banking ($ million, end of period):*					
Chartered banks:					
Canadian dollar deposits	103 144	120 707	134 058	168 268	174 599
of which:					
Personal savings deposits	51 528	64 216	74 945	92 513	100 037
Liquid assets	15 924	17 053	17 709	19 636	21 065
Holdings of Govt. of Canada direct and guaranteed securities	4 358	3 445	2 471	1 568	1 667
Total loans[1]	67 794	84 778	99 224	156 969	157 103
Currency outside banks	8 755	9 460	10 263	10 596	11 392
4. *Interest rates (per cent, end of period):*					
3-month Treasury bill yield	10.46	13.66	17.01	14.41	9.80
Yield of long-term Govt. bonds	9.68	11.32	12.67	15.27	11.69
5. *Miscellaneous:*					
Share prices Toronto stock exchange (1980 = 100)	54.5	74.2	100	101.5	77.1

1. Change in definition as from November 1981.

Sources: OCDE, *Main Economic Indicators;* Statistics Canada, *Canadian Statistical Review;* and *Bank of Canada Review.*

1983	1981 III	1981 IV	1982 I	1982 II	1982 III	1982 IV	1983 I	1983 II	1983 III	1983 IV	1984 I
131.9	114.2	117.0	120.0	127.3	126.3	128.4	129.2	131.0	133.1	134.2	135.8
123.9	113.6	113.0	115.1	119.8	122.1	120.8	121.3	124.0	125.1	125.3	129.0
134.2	114.5	118.3	121.4	124.8	127.6	130.6	131.5	133.0	135.4	136.9	137.8
120.9	111.7	113.1	114.7	116.9	117.8	118.2	118.9	120.8	121.8	122.3	124.2
130	112	117	121	124	126	129	130	128	129	132	
32 251	30 132	28 332	21 476	20 168	19 884	22 880	28 276	31 288	34 004	35 436	
171 537	154 382	168 268	168 280	170 958	170 658	174 599	171 464	172 316	169 214	171 537	
101 486	87 921	92 513	95 895	99 436	100 596	100 037	101 581	102 136	103 271	101 486	
23 297	19 768	17 614	17 064	15 958	17 655	21 065	22 193	24 295	24 961	23 297	
2 954	1 982	1 568	1 416	1 267	1 263	1 667	1 879	2 378	2 691	2 954	
151 582	120 880	156 969	160 803	160 137	159 507	157 103	154 456	151 970	149 683	151 582	
12 401	10 239	10 596	10 024	10 673	10 849	11 392	10 920	11 512	11 856	12 401	
9.71	19.35	14.41	15.07	16.33	12.73	9.80	9.17	9.17	9.24	9.71	
12.02	17.66	15.27	15.06	16.03	13.48	11.69	11.70	11.56	11.76	12.02	
111.3	100.0	91.1	79.1	69.6	72.5	87.3	105.3	113.1	119.0	116.9	

Table D. **Balance of payments**

US $ million

	1974	1975	1976	1977	1978	1979	1980	1981	1982	1983
Current account:										
Merchandise exports	34 338	33 922	39 840	42 949	47 939	57 403	67 582	72 545	70 489	76 107
Merchandise imports	32 400	34 652	38 137	40 000	44 020	53 480	59 802	65 917	55 048	60 936
Trade balance	1 938	–730	1 703	2 949	3 913	3 923	7 780	6 627	15 441	15 172
Services, net	–3 561	–3 864	–5 627	–6 882	–7 773	–8 084	–8 933	–11 805	–13 209	–13 763
Travel, net	–209	–715	–1 208	–1 543	–1 496	–912	–1 050	–931	–1 041	–1 093
Interest and dividends, net	–1 588	–1 921	–2 534	–3 427	–4 117	–4 476	–4 604	–5 523	–7 301	–7 593
Other services, net	–1 764	–1 228	–1 885	–1 912	–2 160	–2 696	–3 279	–5 351	–4 867	–4 477
Transfers, net	130	–83	26	–110	–467	–77	216	369	214	–129
Private, net	469	421	488	397	331	474	797	968	927	667
Official, net	–339	–504	–462	–507	–798	–551	–582	–599	–713	–798
Current account balance	–1 493	–4 677	–3 897	–4 043	–4 327	–4 237	–937	–4 810	2 446	1 280
Capital account:										
Long-term capital, net	1 065	3 869	8 122	3 966	5 431	–570	1 407	–405	6 964	2 234
Private – Direct	36	–187	–902	–249	–1 810	–1 431	–2 194	–8 758	–993	–1 887
Portfolio	157	802	2 735	1 402	512	342	2 291	1 909	1 563	193
Other	–62	290	888	166	1 223	1 576	90	1 621	995	175
Public – Portfolio	1 655	3 600	6 039	3 612	3 765	2 497	2 015	6 875	7 582	4 040
Other official[1]	–721	–636	–637	–965	1 741	–3 554	–795	–2 052	–2 182	–287
Short-term capital, net	1 285	1 633	11	620	1 123	5 745	–597	12 493	–7 607	2 266
Private non-monetary	2 038	620	913	–1 144	–1 412	1 499	–1 986	–3 695	–3 651	1 312
Private monetary institutions	–799	1 017	–909	1 602	2 488	4 061	1 243	16 051	–3 935	775
Official non-monetary	46	–4	7	162	47	185	146	137	–21	179
Miscellaneous official accounts[2]	54	–40	54	123	–39	21	–28	79	–24	–10
Allocation of SDRs	–	–	–	–	–	187	186	175	–	–
Errors and omissions	–887	–1 183	–3 765	–1 886	–2 350	–1 879	–494	–7 214	–2 320	–5 323
Change in reserves	24	–397	524	–1 219	–161	–733	–464	318	–540	448

1. Including drawings on standby credit facilities. Excludes special transactions.
2. Including Bank of Canada liabilities towards foreign central banks.

Source: Statistics Canada, OECD Secretariat.

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Reference period	Units	Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland	Italy	Japan	Luxembourg	Netherlands	New Zealand	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia[1]
POPULATION																											
Total	Mid-1981	Thousands	14 923	7 508	9 852	24 365	5 122	4 800	53 963	61 682	9 730	231	3 443	56 502[3]	117 660	366	14 247	3 176	4 100	9 970	37 654	8 324	6 429	45 747	56 020	229 849	22 520
Inhabitants per sq. km of land area	»	Number	2	89	323	2	119	14	98	248	74	2	49	118	316	141	346	12	13	108	75	19	156	59	230	25	87
Net average annual increase	Mid-1971 to Mid-1981	%	1.3	0.1	0.2	1.2	0.3	0.4	0.5	0.1	1.0	1.2	1.5	0.5	1.1	0.6	0.8	1.0	0.5	1.1	1.0	0.3	0.2	2.3	0.1	1.0	0.9
EMPLOYMENT																											
Total civilian	1981	Thousands	6 364	3 276	3 669	10 933	2 369	2 234	20 959	25 588	3 529	107	1 136	20 623	55 810	160	4 922	1 265	1 932	3 969	10 931	4 225	3 054	14 668	23 819	100 397	9 690[3]
of which: Agriculture	»	% of total	6.5	8.8	3.0	5.5	7.3	11.1	8.6	5.5	30.7	11.7	17.7	13.4	10.0	5.6	5.0	11.2	8.5	26.7	18.2	5.6	7.0	60.1	2.6	3.5	33.8
Industry[4]	»	»	30.6	39.5	33.4	28.3	29.3	34.8	35.9	43.5	29.0	37.4	31.7	37.5	35.3	38.1	30.2	32.6	29.8	37.5	35.2	31.3	39.3	16.4	35.7	30.1	22.3
Other	»	»	62.8	51.7	63.6	66.2	63.3	54.1	56.2	51.0	40.3	50.9	50.6	49.1	54.7	56.3	64.8	56.1	61.7	36.8	46.6	63.1	53.7	23.5	61.7	66.4	41.9
GROSS DOMESTIC PRODUCT in purchasers' values	1981	US $ billion[11]	160.7	66.5	95.1	284.3	58.1	49.1	569.4	683.2	36.7	2.9	16.7	350.2	1 129.5	3.9	140.5	25.0[9]	57.1	23.8	186.1	122.4	94.5	57.6	497.8	2 906.3	67.8[26]
Average annual volume growth[6]	1976 to 1981	%	2.7	2.6	1.5	2.8	1.3	3.5	2.3	2.5	2.9	4.0	3.8	2.6	4.6	1.8	1.4	0.2	3.6	4.0	1.4	1.0	2.4	2.0	0.5	2.8	..
Per capita	1981	US $[11]	10 763	8 842	9 651	11 741	11 350	10 238	10 552	11 076	3 769	12 791	4 855	6 123	9 606	10 566	9 861	7 957	13 937	2 398	4 938	13 505	14 778	1 262	8 886	12 647	3 034[26]
GROSS FIXED CAPITAL FORMATION	1981	% of GDP	24.9	24.9	17.9	23.7	15.7	24.3	21.2	22.0	21.0[8]	25.9	29.8	20.3	31.0	23.3	19.0	20.6	27.2	31.3	20.1	19.3	24.2	19.9	15.9	17.9	31.0[26]
of which: Transport, machinery and equipment	»	»	12.4	11.7	5.8	8.7	6.4	9.8	9.3	8.3	8.0	7.5	12.7[26]	8.5	10.5	9.2[26]	7.3	7.8[26]	9.1	13.8	6.5[26]	7.8	7.6	8.7[22]	8.1	8.1	..
Residential construction	»	»	4.8[10]	..	3.9	4.8	4.0	6.3	6.1	6.6	6.0	4.7	6.6[26]	5.6	6.3	5.5[26]	5.5	3.6[26]	4.5	7.8	5.5[23]	4.6	16.6	2.7[22]	2.1	3.6	7.2[26]
Average annual volume growth[6]	1976 to 1981	%	3.8	0.9	—2.6	3.0	—6.6	0.0	0.9	3.0	0.2	3.1	6.4	2.8	4.5	2.2	—0.4	—3.4	0.2	6.6	—1.2	—1.4	5.1	—2.4	—1.9	3.3	5.7[26]
GROSS SAVING RATIO[12]	1981	% of GDP	21.5[10]	24.5	12.9	21.4	12.3	24.2	19.4	20.8	22.8	22.3	15.0	18.9	31.9	47.8	20.0	20.7[9]	29.8	22.7	18.0	16.0	28.7	20.3	17.3	18.9	37.0[26]
GENERAL GOVERNMENT																											
Current expenditure on goods and services	1981	% of GDP	17.1	18.4	19.0	19.5	27.7	19.1	15.8	20.7	17.9	11.8	22.0	18.1	10.1	17.5	17.9	17.4[9]	19.0	14.9	11.8	29.3	12.5	12.6	22.3	18.1	16.9[26]
Current disbursements[13]	»	»	31.1[10]	44.0	52.7	38.4	55.1	35.2	45.7	44.3	36.0	25.0[22]	48.3[26]	46.1	26.5	51.6[26]	55.8	..	44.6	30.9[14]	29.4[26]	60.3	28.1	..	44.6	34.2	..
Current receipts	»	»	34.4[10]	47.4	44.0	38.7	51.2	39.4	46.1	44.6	30.4	34.0[22]	41.7[26]	38.7	29.3	57.3[26]	55.9	..	52.5	28.1[14]	30.0[26]	59.0	32.6	..	43.4	33.7	..
NET OFFICIAL DEVELOPMENT ASSISTANCE	1982	% of GNP	0.57	0.53	0.60	0.42	0.77	0.30	0.75	0.48	..	..	0.20	0.24	0.29	..	1.08	0.28	0.99	..	..	1.02	0.25	..	0.38	0.27	..
INDICATORS OF LIVING STANDARDS																											
Private consumption per capita	1981	US $[11]	6 431	4 977	6 354	6 518	6 385	5 583	6 856	6 270	2 555	7 934	3 099	3 831	5 550	6 393	5 979	4 748	6 609	1 668	3 449	7 091	9 244	885	5 382	8 085	1 580[26]
Passenger cars, per 1 000 inhabitants	1978	Number	475	272	302	410[22]	219	235	327	346	79	339	194	300	185	423	288	395	282	118	178	345	324	14	262	526	85
Telephones, per 1 000 inhabitants	1981	»	489[26]	421	387	694	675	522	498	488	302	475[26]	208	364	502	547[23]	539	560	485	149	329	828	751	39[23]	507	789	71[22]
Television sets, per 1 000 inhabitants	1980	»	378	296[29]	395[29]	471	368[29]	322[29]	354	337[29]	156[29]	275[29]	225[23]	386	539	245[23]	296[29]	278	292[29]	141	252	381[29]	314[29]	75[29]	404	624	192[29]
Doctors, per 1 000 inhabitants	1981	%	1.9	1.6[26]	2.6	1.6	2.2[26]	2.0	2.2[26]	2.3	2.3[23]	2.3	1.2[14]	3.1[26]	1.3[26]	1.7[26]	1.9	1.6	2.0	1.9[26]	2.6	2.2[26]	1.6	0.6	1.3	2.0[26]	1.3[22]
Full-time school enrolment[15]	1980	%	86	74	89	89	87[22]	90	85	79[30]	81[19]	83[14]	93	73	91	69	94	81	94[22]	55[22]	87[23]	86	..	37[22]	82[23]	100[30]	83
Infant mortality[17]	1982	Number	10.0[28]	12.8	11.7[28]	9.6[28]	8.1[28]	6.5[28]	9.6[28]	11.6[28]	15.6[28]	6.0[28]	10.6[28]	13.2	7.1[28]	11.0[28]	8.1	11.8	7.5[28]	26.0[26]	10.3[28]	6.8	7.6[28]	131.0[27]	11.8[28]	11.2	30.7[28]
WAGES AND PRICES	Average annual increase																										
Hourly earnings in manufacturing	1977 to 1982	%	10.2	6.3	8.1	9.9	10.4	11.0	14.2	5.4	26.3	49.9	16.3	19.6	6.2	6.2[31]	4.8	16.7	8.3	19.3	20.5	8.7	4.4	..	13.4	8.4	25.4
Consumer prices	»	%	9.6	5.2	6.4	10.3	10.8	9.6	11.7	4.7	20.3	49.4	15.2	16.8	4.6	6.2	5.5	14.9	9.7	21.0	16.0	10.3	4.2	56.5	12.0	9.8	27.3
FOREIGN TRADE																											
Exports of goods, fob	1982	US $ million[11]	22 152	15 648	52 404[7]	68 412	15 312	13 068	92 352	175 452	4 284	684	8 088	73 380	138 252	..	66 228	5 551	17 544	4 176	20 568	26 736	25 932	5 772	97 224	212 280	8 364
As percentage of GDP	»	%	14.01	23.36	60.58[7]	23.52	27.20	26.89	17.13	26.60	11.42	26.31	46.22	21.28	13.02	..	48.27	..	31.27	17.92	11.48	27.31	27.04	10.99	20.63	7.02	13.46[28]
Average annual volume increase	1977 to 1982	%	2.32[32]	5.48	2.60[7]	0.08	5.83	5.25	3.54	4.57	2.59	..	6.83	3.07	4.77	..	2.21	3.66	6.40	..	7.57[33]	3.52	1.85	14.25	1.55	2.91	..
Imports of goods, cif	1982	US $ million[11]	24 240	19 500	57 828[7]	54 816	16 836	13 428	115 380	154 044	9 972	948	9 684	85 920	131 124	..	62 580	5 782	15 456	9 420	31 620	27 624	28 596	8 940	99 672	243 948	10 980
As percentage of GDP	»	%	15.33	29.11	66.85[7]	18.84	29.90	27.63	21.40	23.36	26.59	36.46	55.34	24.92	12.35	..	45.61	..	27.55	40.43	17.65	28.22	29.82	17.63	21.15	8.06	17.67[28]
Average annual volume increase	1977 to 1982	%	—0.69[32]	1.57	1.59[7]	—0.01	—0.24	3.87	4.54	3.06	3.26	..	4.26	3.05	1.66	..	0.38	2.86	1.67	..	2.06[33]	1.89	4.43	—4.39	3.32	—0.31	..
TOTAL OFFICIAL RESERVES[24]	Mid-1982	US $ million	4 336	6 131	5 796[7]	4 076	2 472	1 551	22 644	48 017	1 095	190	2 651	19 601	26 733	..	1 480	656	6 611	1 374	9 809	3 798	18 024	1 254	14 572	27 710	1 260
As ratio of average monthly imports of goods	In 1982	ratio	2.15	3.77	1.20[7]	0.89	1.76	1.39	2.35	3.74	1.32	2.41	3.29	2.74	2.45	..	2.20	1.36	5.13	1.75	3.72	1.65	7.56	1.68	1.76	1.36	1.38

1. Partly from national sources.
2. Total resident population.
3. Private and socialised sector.
4. According to the definition used in OECD: Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
5. Social product.
6. At constant prices.
7. Including Luxembourg.
8. Excluding ships operating overseas.
9. Fiscal year beginning 1st April.
10. Fiscal year beginning 1st July.
11. At current prices and exchange rates.
12. Gross saving = Gross national disposable income minus private and government consumption.
13. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
14. 1976.
15. Gross enrolment rates in secondary schools.
16. 1974.
17. Deaths in first year per 1 000 live births.
18. Figures are not strictly comparable due to differences in coverage.
19. 1978.
20. 1975.
21. 1972.
22. 1977.
23. 1979.
24. Gold included in reserves is valued at 35 SDR per ounce (see IMF, *International Financial Statistics*, series Total Reserves).
25. 1976 to 1980.
26. 1980.
27. 1975 to 1980.
28. 1981.
29. Licences issued.
30. Primary and secondary schools.
31. 1976 to 1981.
32. 1977 to 1980.
33. 1977 to 1979.

Note: Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries: OECD: *Labour Force Statistics, Main Economic Indicators, National Accounts, Observer, Statistics of Foreign Trade (Series A)*; Statistical Office of the European Communities, *Basic Statistics of the Community*; IMF, *International Financial Statistics*; UN, *Statistical Yearbook*.

National sources have also been used when data are not available according to standard international definitions.

16-11-83

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